OECD

ECONOMIC SURVEYS

1986/1987

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

NORWAY

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1987

OCDE

OECD

OECD ECONOMIC SURVEYS

ARCHIVES —
RÉFÉRENCES
— DOC' PRÊTÉ —
RETOUR BUREAU

NORWAY

JANUARY 1987

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Pursuant to article 1 of the Convention signed in Paris on 14th December, 1960, and which came into force on 30th September, 1961, the Organisation for Economic Co-operation and Development (OECD) shall promote policies designed:

- to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;
- to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

The original Member countries of the OECD are Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. The following countries became Members subsequently through accession at the dates indicated hereafter: Japan (28th April, 1964), Finland (28th January, 1969), Australia (7th June, 1971) and New Zealand (29th May, 1973).

The Socialist Federal Republic of Yugoslavia takes part in some of the work of the OECD (agreement of 28th October, 1961).

Publié également en français.

© OECD, 1987
Application for permission to reproduce or translate
all or part of this publication should be made to:
Head of Publications Service, OECD
2, rue André-Pascal, 75775 PARIS CEDEX 16, France.

CONTENTS

Introduction 7

I. The oil price fall, policies and the outlook 9
1985/1986: A "high pressure" economy 9
The oil price collapse 12
The first policy reactions 13
Policy assumptions and the outlook for 1987 17

II. The size of the medium-term adjustment problem 23
The oil sector and its links with Mainland Norway 23
The spending option 23
Unsustainable medium-term imbalances with unchanged policies 26

III. Medium-term policy requirements 32
Policy options 32
High national savings are needed 33
International competitiveness, productivity and the wage formation process 36

IV. Conclusions 40

Notes and references 43

Annex: Calendar of main economic events 45

Statistical Annex 49

TABLES

Text

1. Supply and use of resources 10
2. Changes in the money supply by source 15
3. Indicators of fiscal policy 16
4. International assumptions 18
5. General government budget 19
6. Wage developments and competitiveness 20
7. Short-term prospects 21
8. The balance of payments 22

9. Aggregate performance indicators 25
10. Mechanical effects of the oil price fall 27
11. Medium-term budget trends 34
12. Rigidity in public-sector spending 35
13. Subsidies 38

Statistical Annex

A. Supply and use of resources 51
B. Supply and use of resources 52
C. Gross domestic product by industry of origin 53
D. Gross domestic product by industry of origin 54
E. General government income and expenditure 55
F. Production by sector 56
G. Labour market and employment 57
H. Balance of payments 58
I. Foreign trade, total and by area 60
J. Prices and wages 60
I. Money and credit 61

DIAGRAMS

Text

1. Pressure indicators 9
2. Overtaking the future 11
3. Consumer price developments 12
4. The spot price of North Sea oil 13
5. The defence of the krone 14
6. The continental shelf 24
7. Real disposable income 28
8. Foreign debt and current external balances 30
9. Investments in the oil sector 31
10. Sectoral current account balances 33
11. Decomposition of relative unit labour cost 37

BASIC STATISTICS OF NORWAY

THE LAND

Area (1 000 sq. km) 1983	324
Agricultural area (1 000 sq. km) 1983	9
Productive forests (1 000 sq. km) 1983	65

Major cities (1.1.86):	
Oslo	449 337
Bergen	207 916

THE PEOPLE

Population (31.12.85)	4 159 335
No. of inhabitants per sq. km	13
Net natural increase (average 1976-1985)	9 610
Per 1 000 inhabitants (average 1976-1985)	2.4

Civilian employment, 1985	2 012 000
of which: Industry (%)	27.8
Agriculture, forestry and fishing (%)	7.2
Other activities (%)	65.0

PRODUCTION

Gross domestic product in 1985 (millions of Kr.)	497 835
GDP per head (US$)	13 780

Gross fixed capital formation (1985):	
Percentage of GDP	21.7
Per head, US$	3 022

THE GOVERNMENT

Public consumption in 1985 (percentage of GDP)	18.6
General government current and capital expenditure in 1985 (percentage of GDP)	44.4
General government current revenue in 1985 (percentage of GDP)	56.5

Last general election: 1985

Composition of Parliament (No. of seats):	
Labour party	71
Conservative party	50
Christian democratic party	16
Centre (Agrarian) party	12
Progress party	2
The socialist left party	6
Total	157

Next general election: September 1989

FOREIGN TRADE

Exports of goods and services as a percentage of GDP (average 1981-1985)	49.1
of which:	
Gross freight and oil drilling earnings (1981-1985)	8.2
Main exports in 1985 (percentage of total commodity exports):	
Forestry products	4.0
Base metals and products thereof	11.5
Fish and fish products	4.1
Machinery, apparatus and transport equipment (excl. ships)	6.6

Imports of goods and services as a percentage of GDP (average 1981-1985)	42.1
Main imports in 1985 (percentage of total commodity imports):	
Ships	2.3
Machinery, apparatus and transport equipment (excl. ships)	33.1
Raw materials (non-edible) incl. fuels and chemicals	17.7
Base metals and products thereof	9.3

THE CURRENCY

Monetary unit: Krone

Currency units per US$, average of daily figures:	
Year 1986	8.59
November 1986	7.53

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Norway by the Economic and Development Review Committee on 15th December 1986.

After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 20th January 1987.

INTRODUCTION

1986 marks a turning point in Norway's "oil era" which began with the first oil discoveries about twenty years ago. The sharp fall of oil prices resulted in a direct loss of real national income of nearly 10 per cent in 1986 while reducing total export earnings by more than 15 per cent. With gas prices following suit, oil prices unlikely to recover significantly in the foreseeable future and with increasing interest payments on the rising foreign debt, further losses in real disposable national income are likely to occur in 1987 underlining the need to reduce domestic demand and shift resources into traditional export and import-competing industries.

The size of the required medium-term adjustment of output and demand patterns has been increased by strong growth in domestic demand from 1983 to 1986 and the domestic spending of rapidly rising oil revenues. Competing claims on the windfall gains from the oil sector have resulted in heavy domestic "overspending" of accrued oil rents. As could be expected, domestic absorption of oil revenue was associated with cost and price pressures, causing severe losses of international competitiveness. The consequent crowding-out of traditionally exposed industries entailed a massive widening of the non-oil trade deficit. As was already noted in the 1984/1985 OECD *Economic Survey of Norway*, the policy of generous income support and subsidisation of parts of the business sector has resulted in a deterioration of the underlying ability of the economy to cope with the structural adjustment pressures which have emanated from abroad over the past decade.

Inflationary developments since early-1985 have compounded the adjustment problem, making it a matter of even greater urgency than warned a year ago. While in its initial phase (1983-84) the economic upswing was export-led, domestic demand has taken over as the driving force, spurred by expansionary demand-management policies. Private real consumption rose by more than 8 per cent in 1985. Business investment accelerated sharply. Employment growth was stronger than ever in the post-war period, reducing the unemployment rate below 2 per cent. Total domestic demand, notably private consumption and business investment, continued to expand vigorously in the first half of 1986, slowing down thereafter. With exports suffering from insufficient competitiveness as well as capacity constraints in certain industries, there was a large negative contribution to GDP growth from the real foreign balance. Real GDP advanced by 4½ per cent in 1986 though decelerating through the year. Excess demand conditions and the effects of the May 1986 devaluation have led to accelerating inflation and a marked widening of the non-oil current external deficit. On unchanged economic policies, prospects for 1987 are worrying. The growth of demand is likely to decelerate as the consumption and investment boom peters out. But labour markets will remain tight given the shortening of the working week, reinforcing cost-push pressure and price inflation. Furthermore, on the assumption of unchanged oil prices, the current external deficit may widen to 7 per cent of GDP in 1987.

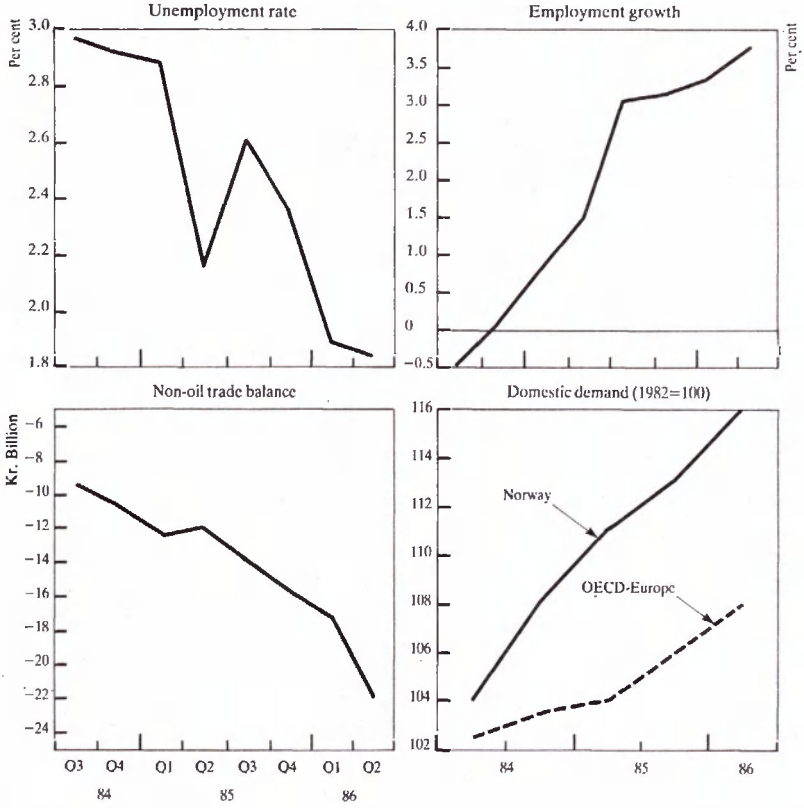
Part I examines the main factors behind the overheating of the Norwegian economy in recent years and presents the Secretariat's projections for 1987. Part II considers the size of the medium-term adjustment problem after the sharp fall in oil prices and a decade of high domestic absorption of rapidly-rising oil revenues. Part III discusses alternative policy options and adjustment mechanisms to shift resources into the exposed sector so as to limit the rise of foreign debt and further losses in real disposable national income. Part IV provides a summary of the main short and medium-term stabilisation issues and offers some policy conclusions.

I. THE OIL PRICE FALL, POLICIES AND THE OUTLOOK

1985/1986: A "high pressure" economy

When the oil price started its downward slide at the end of 1985, the economy had already been thrown out of balance[1]. Fuelled by increasingly expansionary fiscal and monetary policies during 1984 and 1985, sizeable real income gains and by easy financial conditions, symptoms of an overheated economy became clearly manifest in the course of 1985[2], particularly in *the labour market* (Diagram 1). Indeed, employment (measured in man years)

Diagram 1 : **Pressure indicators**



Sources : Bank of Norway, OECD.

grew by about 2¾ per cent in 1985, the sharpest increase since the reconstruction period after World War II. As a result, the unemployment rate fell to about 2 per cent by the end of 1985 and the number of unfilled vacancies increased sharply, permitting a marked scaling down of labour market measures. Other indications of an overstrained economy were the widening of the inflation differential *vis-à-vis* main trading partners early in 1985 and the sharp increase in Mainland Norway's trade deficit, which in the last quarter of 1985 was running at an annual rate of almost Kr 80 billion or 15 per cent of GDP.

Imbalances, both domestic and external, widened further in 1986. The growth of *private consumption* was unusually strong throughout 1985 and the first half of 1986 (Table 1). Households enjoyed large real income gains and the savings ratio dropped to a record low[3], but also financing conditions, notably the overshooting of ceilings on bank lending, in part due to deregulation, and the unlimited tax deductability of interest expenditure, helped to sustain consumer borrowing and spending[4]. The non-oil *business investment* boom, which started in 1984, accelerated further in 1986 fuelled by buoyant demand prospects and improved self-financing possibilities. Investment on the continental shelf expanded vigorously after a decline in 1985. All-in-all, in the past three years, domestic demand (excluding oil and shipping) increased in volume by more than 20 per cent. This is twice as much as on average in the OECD area and the same demand growth which has "normally" been forthcoming over a six-year period. It is interesting to note in passing that the 1986 activity levels have come close to or even exceeded those projected for 1989 in the official Long-Term Programme 1986-1989 presented to Parliament in early-1985 (Diagram 2). Following a strong volume increase in 1985 (inflated by exports of used ships and oil platforms), the Norwegian export performance was disappointing in 1986 reflecting insufficient international competitiveness, decelerating

Table 1. **Supply and use of resources**

Per cent volume from previous year

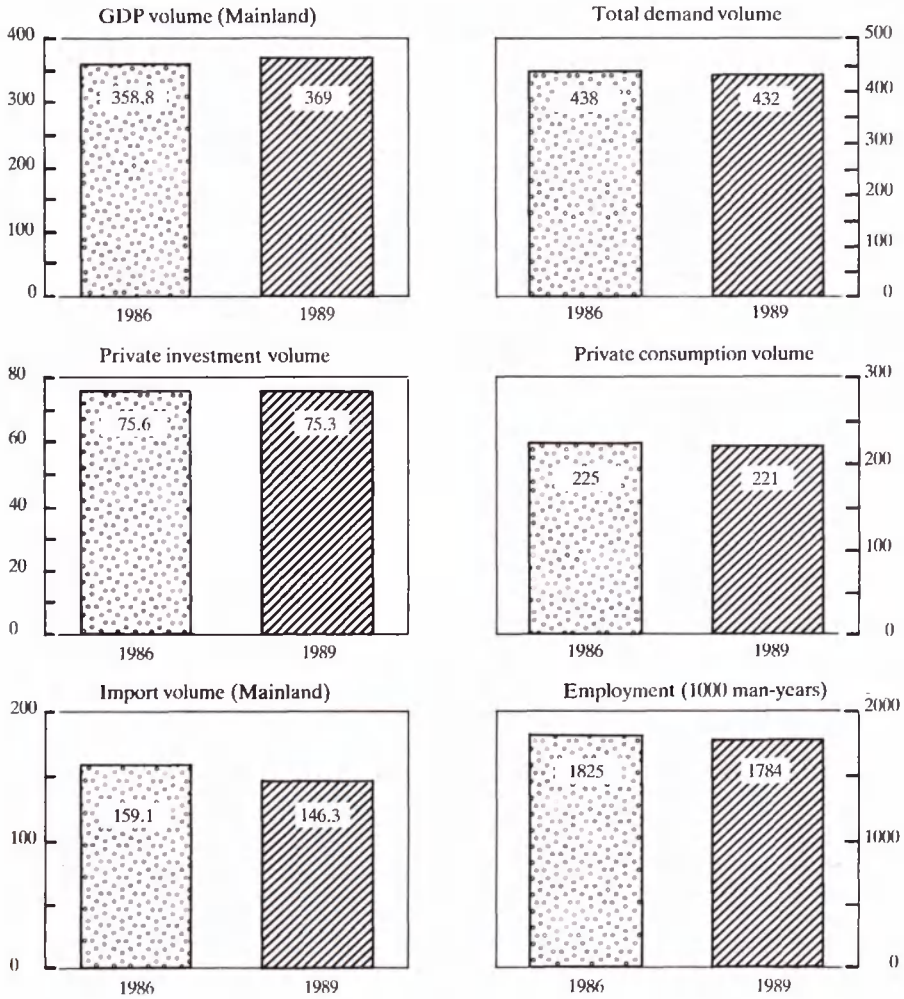
	1980	1981	1982	1983	1984	1985
Private consumption	2.3	1.1	1.8	1.5	2.7	8.2
Government consumption	5.4	6.1	3.9	4.6	2.0	3.4
Gross fixed capital formation	–1.5	17.9	–11.0	5.8	8.7	–21.9
of which:						
Oil sector	–18.2	119.0	–47.2	100.4	45.8	–40.5
Residential construction	0.4	2.3	–0.4	–0.8	–0.9	–0.2
Other construction	0.4	–2.0	–5.7	8.5	2.5	0.6
Ships and pipelines	–52.2	114.4	–5.1	–74.7	–246.8	615.9
Other transport equipment	5.5	16.5	–5.7	–0.2	9.6	9.6
Other machinery and equipment	8.4	4.0	–5.7	–0.2	15.2	7.6
Final domestic demand	1.9	6.8	–1.6	3.4	4.2	–1.6
Stockbuilding[1]	2.8	–3.3	2.9	–0.3	1.3	4.0
Total domestic demand	4.8	0.9	2.0	1.1	5.7	2.7
Exports of goods and services	2.1	1.4	–0.1	7.3	7.5	10.0
Imports of goods and services	3.3	1.5	3.7	0.0	8.2	7.7
Foreign balance[1]	–0.4	0.0	–1.6	3.5	0.3	1.7
GDP	4.2	0.9	0.3	4.5	5.6	4.2
Memorandum items:						
Mainland GDP	2.4	1.7	0.7	2.5	3.6	4.3
OECD Europe GDP	1.3	0.0	0.6	1.5	2.6	2.4

1. Contribution to GDP.
Source: Central Bureau of Statistics and OECD.

market growth and excessive pressures on domestic resources. Traditional exports were slightly reduced[5] but with buoyant exports of oil and used ships total exports of goods and services grew by nearly 4 per cent.

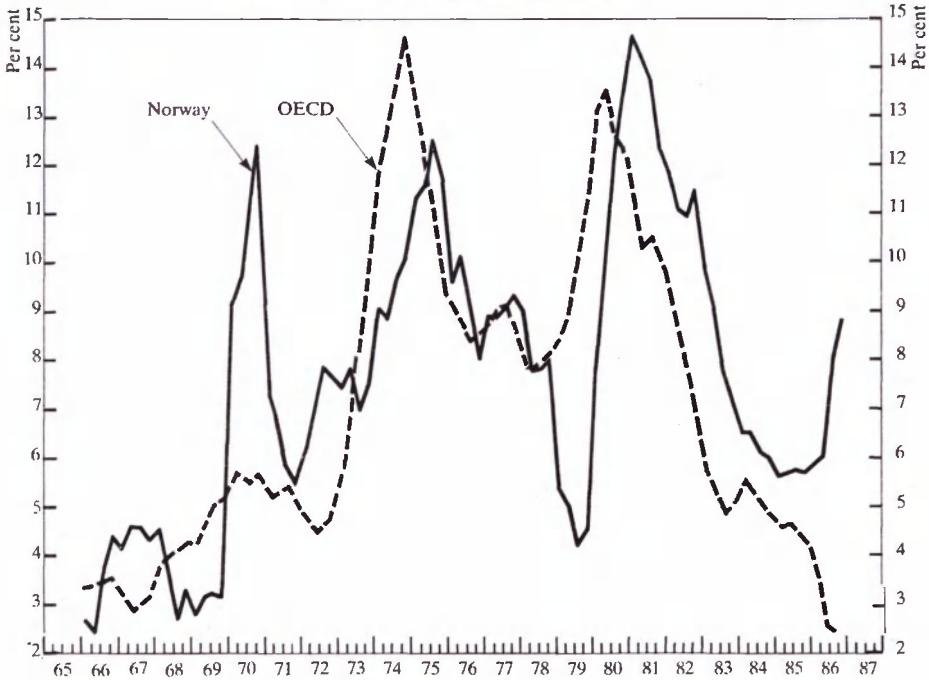
Reflecting intense demand pressure, imports rose sharply. Between 1984 and 1986 the volume of traditional goods imports increased by as much as 26 per cent, while for total goods and services the rise amounted to about 20 per cent. With a 7 per cent loss in the non-oil terms of trade over that period, the Mainland Norway current external balance deteriorated by Kr 40 billion from 1984 to 1986 to attain, in 1986, a deficit of about Kr 90 billion or 18 per

Diagram 2 : **Overtaking the future**
1986 outcomes compared to 1989 predictions
(Kr. Billion, fixed 1983 prices)



Source : Ministry of Finance

Diagram 3: **Consumer Price developments**
(Per cent change over 4 quarters)



Source : OECD

cent of GDP. The overall current external account, following a surplus of 5 per cent of GDP in 1985, swung into a deficit of the order of 6½ per cent of GDP in 1986. About 60 per cent of this deterioration was due to the oil price fall.

With falling import prices damping the effects of stronger demand pressures, consumer price inflation stabilised in 1985 at a rate close to 6 per cent. In 1986 there was renewed acceleration due to the devaluation and continued strong pressures on domestic resources. By the end of 1986, the twelve-month rate attained almost 9 per cent. Thus, the inflation gap *vis-à-vis* the OECD area as a whole has widened from about ½ percentage point in early-1985 to more than 5½ percentage points by the end of 1986 (Diagram 3).

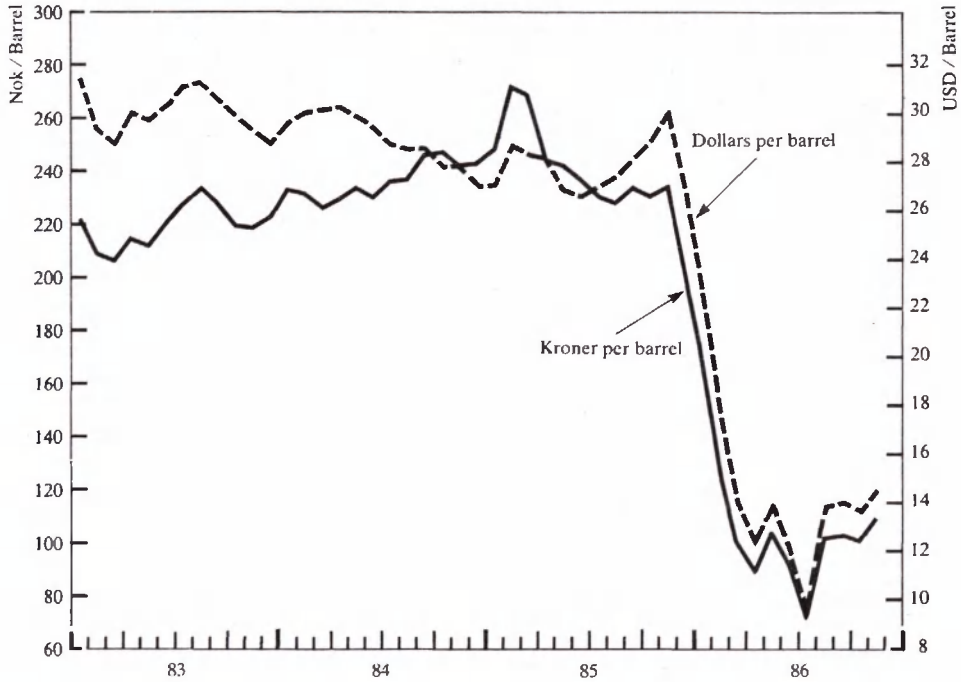
The growth of total real GDP in both 1985 and 1986 was considerably stronger than in main trading partner countries. With an annual advance of more than 4 per cent, this was almost 2 percentage points more than in OECD Europe on average. Excluding oil, the growth differential was somewhat smaller. The labour market remained tight in 1986 and employment growth high. Despite continued increases of participation rates, the rate of unemployment declined further to an average level for the year of below 2 per cent (compared to 2½ per cent in 1985).

The oil price collapse

The OPEC countries, and in particular Saudi-Arabia, increased their oil production considerably in the second half of 1985. The OPEC meeting in December of that year

confirmed the strategy to reconquer market shares by raising production rather than maintaining official prices at agreed levels. The rise in output exerted downward pressure on prices. The spot price per barrel of North Sea oil – averaging around $27 in 1985 – fell to $20 in late January 1986, $15 in early March, and dropped through the $10 floor a month later (Diagram 4). In August 1986, a new two-month OPEC agreement (without Iraq) was reached to curb production and restore prices. Thereafter, spot prices have stabilised at around $14 to $15 per barrel. In late October, OPEC agreed on new production quotas for a two-month period and Norway decided to limit its oil exports by 10 per cent for the months of November and December with the view to sustaining prices. Throughout this Survey (unless otherwise indicated) it is assumed that oil prices will remain at $15 per barrel.

Diagram 4 : **The spot price of the North sea oil**



Source: Central Bureau of Statistics.

The first policy reactions

As noted above, the oil price decline hit an overheated economy. The situation was aggravated by a protracted labour market conflict. In the Revised National Budget 1986 the new minority Government presented a four-pronged strategy designed to restore better economic stability:

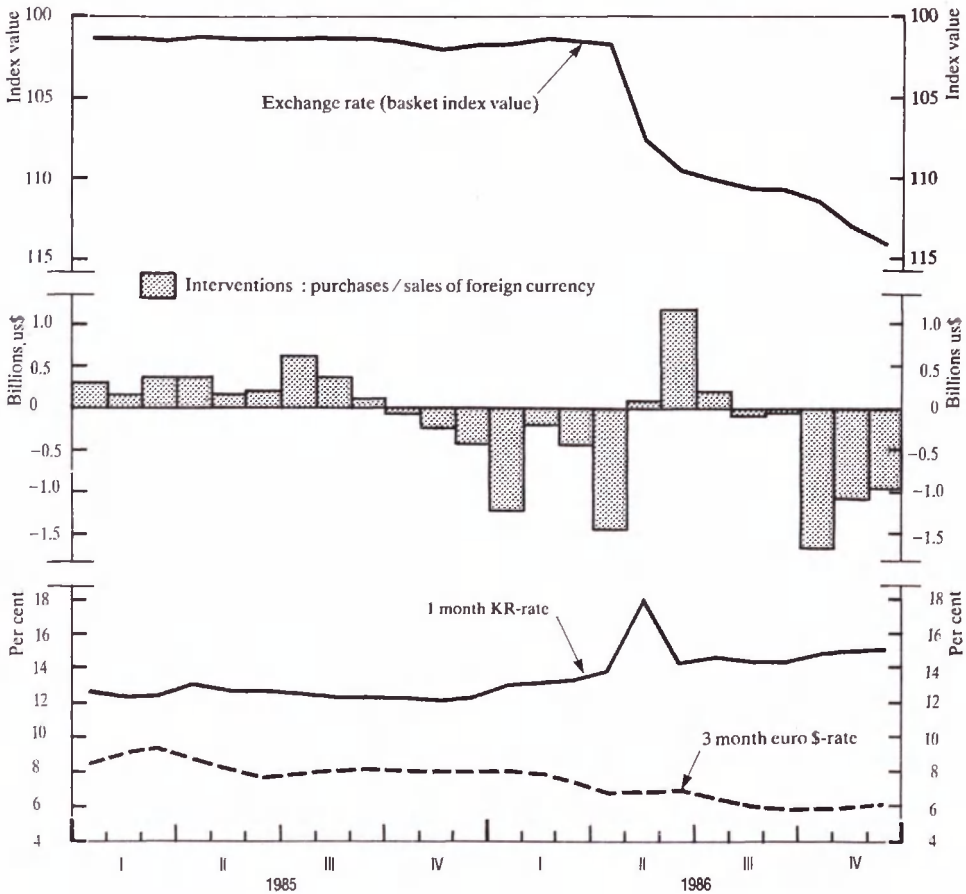
- The 10 per cent devaluation of the krone, effected on 11th May, to restore international competitiveness;

- Tighter demand-management policies to reduce imports, ease pressures on the labour market and to make room for higher net exports;
- As a supplement to other measures, a new incomes policy designed to exert a direct moderating influence on domestic cost and price pressures;
- Industrial and structural policies to improve the efficiency of the economy.

The new policy approach was pursued further in the National Budget 1987, presented to Parliament in October 1986.

The devaluation. With market expectations influenced by the decline in oil prices, the pressure against the krone – which had started in October 1985 – intensified in the early months of 1986; the outflow of funds became particularly heavy in late April/early May. In response, the monetary authorities raised short-term interest rates sharply and curbed banks' borrowing facilities (Diagram 5), and the central bank intervened in the foreign exchange

Diagram 5 : **The defence of the krone**



Source : Bank of Norway.

market to support the krone[6]. On 11th May, the krone was devalued by raising the central value of the exchange rate index from 100 to 112[7]. To increase flexibility of exchange rate management, the former ordinary swing margin of 2¼ per cent on either side of the central value was re-established. Subsequent months saw reflows of foreign exchange, increasing foreign exchange holdings by more than $3 billion. Renewed intervention to maintain the krone exchange rate became necessary in the second half of 1986.

Monetary policy was tightened in early 1986. Primary reserve requirements were increased and marginal reserve requirements on banks imposed[8]. The evolution of various financial aggregates since then suggest some change in financial conditions, but the aggregates still overshot targets. The credit indicator, which reflects the total registered credit supply to private and municipal sectors, accelerated strongly in the second and third quarters, and during the first ten months of the year the credit supply exceeded the targeted level by as much as Kr 14 billion or 37 per cent. In contrast, the money supply expanded somewhat less than anticipated. In the first ten months of 1986 the annual rate of expansion was 7 per cent, a marked reduction from the 17 per cent recorded in the second half of 1985 (10½ per cent on a year-to-year basis). As noted, total domestic credit expansion was lively but the external leakage, i.e. the non-bank sectors' net purchases of foreign exchange, provided a large offset (Table 2). But there are reasons to believe that reported money supply figures underestimate the "true" underlying rate of expansion of liquidity. Unregistered credit flows have increased, and shifts between normal balance sheet items and off-balance activities in the banking system enhance the difficulties of interpreting current developments. In particular, there has been a reshuffling of bank assets, compressing lending while expanding holdings of government securities since the latter are exempt from the new supplementary reserve requirements. Moreover, non-bank purchases of private and municipal bonds have to some extent been financed by a run-down of special deposits (offered to large depositors on individual terms) which contributed to lower measured money supply growth. But since these

Table 2. **Changes in the money supply by source**

Per cent

	1984	1985	Last 12 months to August		1986[1]
			1985	1986	
Contributions from					
A. Central government	7.9	3.7	5.8	9.3	2.2
Revenue deficit[2]	6.9	4.4	6.2	7.9	0.1
Loan transactions	1.0	–0.7	–0.4	1.4	2.1
B. Private banks[3]	14.0	22.9	17.7	17.3	7.2
C. Domestic credit supply (A + B)	21.9	26.6	23.6	26.6	9.4
D. Net sales by public of foreign exchange to banks[4]	–2.2	–11.5	–5.7	–16.6	–2.7
E. Broad money supply growth (C – D)	19.7	15.1	17.9	10.0	6.7

1. Estimates in National Budget 1987.
2. Excluding oil taxes.
3. Excluding licensed foreign currency loans and banks' krone loans to the oil sector.
4. Excluding oil taxes, but including licensed foreign currency loans from Norwegian banks, government loans to Statoil and banks' krone loans to the oil sector.

Source: Bank of Norway and Ministry of Finance.

purchases have often been associated with repurchase agreements from the banks, the liquidity drain for the private sector has been only temporary. Finally, non-financial sectors' participation in the so-called "relief market for loans"[9] has also been possible by using funds from the special deposit market. This has not, however, reduced liquidity since these new financial assets have been tailored to match the liquidity properties of short-term bank deposits.

In line with the overall objective for monetary policy, *interest rates* have been allowed to edge upwards in 1986, the lever being the strong drain of liquidity from banks through higher reserve requirements and capital outflows. During early-May, money market interest rates oscillated between 30 per cent and 50 per cent per annum, but have since fallen back to between 14 and 14½ per cent. Interest rate policy was implemented through *short-term liquidity management*. Without offsetting transactions, the external liquidity drain would have resulted in sky-rocketing money market rates, so the Bank of Norway had to supply the market with funds (notably in March and April) through repurchase agreements, widening of borrowing facilities and currency swaps. In addition, intervention in the exchange market was primarily carried out in the forward market, thus postponing the effect on bank liqidity.

Fiscal policy has been tightened on four occasions in 1986 (Table 3):

- The *April measures* (forming part of the previous Government's proposals) included higher indirect health taxes and reductions in subsidies, yielding an improvement of the budget balance of Kr 1 billion on a yearly basis (1/4 per cent of GDP);
- The *May measures* (in the Revised National Budget 1986) comprising increased gasoline, electricity and social security taxes as well as net expenditure reductions to the tune of Kr½ billion. All-in-all, these measures are estimated to improve on a yearly basis the budget balance by Kr 3½ billion (3/4 per cent of GDP);
- The *National Budget 1987* presented to Parliament in early October 1986, incorporated (for details see below) higher direct and indirect taxation largely offset by standard deductions with a "social profile"[10]. Moreover, expenditure restraint is to be achieved by strict application of two budgeting rules: *i)* no compensation for the price effect of the devaluation and *ii)* incomes for socio-economic groups whose revenues are wholly or partially financed via public sector budgets (e.g. farmers, pensioners) should develop in line with incomes of employees not affected by shorter working hours;
- The final 1987 Budget adopted by Parliament in December 1986 included a further tightening of some Kr 1¼ billion.

Table 3. **Indicators of fiscal policy**[1]

Per cent of nominal GDP

	1984	1985	1986	1987
Financial balance	7.4	7.9	2.1	1.0
Financial balance before loan transactions	6.8	7.4	1.7	0.7
Financial balance excluding net oil revenues and transfers from Bank of Norway before loan transactions[2]	–4.4	–2.5	0.1	1.1

1. All measures refer to general government.
2. In per cent of Mainland nominal GDP.
Source: National Budget 1987 and Secretariat estimates.

All-in-all, these measures are officially estimated to represent a tightening of the order of 2 per cent of GDP. The actual degree of restriction depends importantly on the realisation of the assumed 6½ per cent increase in wages in 1987[11].

Incomes policy is expected to play an important role in the Government's efforts to improve international competitiveness. While rejecting the previous government's "tax-incomes-policy" strategy[12], the present Government has invited the social partners to discuss arrangements which could help to ensure more appropriate wage developments. To prepare the ground for a tripartite co-operation on incomes policy the Government has:

- Proposed a tax reform which reduces the effect of tax allowances, especially for higher income groups;
- Announced plans to improve the statistical coverage of income developments in order to monitor more systematically incomes not subject to collective bargaining or centralised negotiations;
- Increased indirect taxes less than the assumed price increase;
- Reduced interest rates (related to residential construction) in some state banks by 1 percentage point;
- Set up a study group to examine the wage-determination process both in the organised and the non-unionised labour markets. To assist a research group, the Government has appointed a council consisting of members from employers and employees organisations and ministries. The study should be available before the next central wage round in early 1988.

Structural and industrial policies constitute the fourth element in the Government's strategy. The lack of supply responsiveness of the Norwegian economy is reflected in the trend deterioration of the real output-inflation split (see OECD, *Economic Survey of Norway*, January 1985). This may in part be attributable to the high level of subsidies to industry and particularly to farming. Unprofitable, low-productivity firms are kept afloat thereby retarding the necessary structural change, accentuating labour market pressures and reducing potential output growth. Moreover business support, amounting to 3 per cent of GDP in 1985, is placing a considerable strain on public finances. The partial abolition of the district tax law, which had induced tax-motivated, publicly-financed investments, has to be seen in this context. The Government's intention is to increase the efficiency of public intervention in favour of local employment by formulating criteria for support more clearly. Non-discriminatory treatment of employment in different sectors or firms is an important criterion in this respect. Particular importance is attached to efforts to stimulate research and development which seems to lag in Norway compared to other OECD countries. Support to state firms is envisaged to be reduced by 70 per cent from 1986 to 1987, but many firms report continuous high financing needs. Subsidies to the farming sector – representing some 60 per cent of total business subsidies – depend importantly on productivity assumptions. These will be re-examined and a survey of farmers' non-farm revenues is planned[13].

Policy assumptions and the outlook for 1987

The international trade cycle. The present outlook is for real GDP in the OECD area to grow by 2½ to 3 per cent between 1986 and 1987 (see *OECD Economic Outlook 40*, December 1986). The derived export *market growth* for Norway, on a year-to-year basis, is forecast at 4¾ per cent in 1987. Norway's *terms of trade* deteriorated significantly in 1986 due

to the oil price fall and the devaluation, and a further worsening is assumed to take place through 1987 as the oil price fall puts downward pressure on international gas prices (Table 4).

Table 4. **International assumptions**

Per cent change, year-on-year

	1985	1986	1987
Real GDP growth, OECD area	3	2½	2¾
Real domestic demand, OECD area	3.1	3½	3
Growth of Norwegian export markets	7	4	4¾
Dollar price per barrel of oil (level)	26.5	16¾	15
Terms of trade	–5.4	–18¾	–9¼

Source: OECD.

Economic policy assumptions. The Secretariat's projections are based on the standard assumption of no change in actual or announced policies. The central government's fiscal budget for 1987 shows a surplus before loan transactions of Kr 4½ billion (1 per cent of GDP), despite an estimated drop in net income from oil of more than Kr 30 billion between 1985 and 1987. Adjusted for the effects of petroleum activities, the deficit on the fiscal budget is estimated to be about ½ per cent of GDP (excluding oil and shipping) in 1987. Secretariat estimates suggest that the general government budget balance before loan transactions may have fallen from a surplus of 7 per cent of GDP in 1985 to one of 2 per cent in 1986 and is likely to decline to about 1 per cent in 1987 (Table 5). Despite higher production volumes, government oil taxes (on an accrued basis) probably have been reduced by Kr 32 billion (6½ per cent of GDP) in 1986 and a further Kr 8 billion (1½ per cent of GDP) reduction is expected in 1987. Apart from the oil price fall in 1986 and the lagged effects of lower gas prices in 1987, the revenue loss also to some extent reflects tax reliefs granted to oil companies to sustain their exploration activities on the continental shelf. General government revenue growth, excluding oil revenues and transfers from the central bank, is estimated to slow down to 10½ per cent in 1987 with receipts from both direct and notably indirect taxes contributing. The latter mirrors the expected sharp fall in private consumption growth. Social security receipts should expand rapidly as the proposed tax reform envisages higher gross taxation being implemented through higher social security contributions. Expenditure growth is foreseen to decrease somewhat from 1986 to 1987. Adjusted for higher interest expenditure, increased central government direct investment in the petroleum sector and changed procedures for transferring funds from central to local governments, growth of nominal expenditure is estimated at 6½ per cent from 1986 to 1987, which is substantially lower than in earlier years. Variations in oil taxes and royalties exert little direct effect on domestic demand. The budget adjusted for oil taxes and transfers is therefore considered as the best single indicator of the fiscal impact on the Mainland economy. On this basis, the general government budget, in deficit to the tune of about 2½ per cent of GDP (excluding oil and shipping) in 1985, achieved broad balance in 1986, partly reflecting cyclical factors, and may show a further improvement in 1987.

Domestic liquidity growth is officially expected to decelerate in 1987 to about 8 per cent, thus being broadly unchanged in real terms. As noted above, in 1986 money supply growth was well below forecasts, and for 1987 the National Budget envisages a growth of about

Table 5. **General government budget**

Kroner billion

	1983	1984	1985	1986[1]	1987[1]
Revenues					
Oil tax revenues	35.7	43.4	51.6	17.5	12.3
Direct taxes	49.8	55.3	58.6	65.3	69.9
Social security contributions	47.1	50.5	57.0	66.1	75.2
Indirect taxes	61.4	67.3	78.6	91.2	97.0
Other revenues[2]	14.2	22.9	26.7	35.1	40.1
Total	208.2	239.4	272.5	275.2	294.5
Outlays					
Consumption	78.2	84.2	92.6	100.0	109.9
Investment[3]	12.3	11.7	20.8	26.0	30.3
Subsidies	24.4	25.7	27.0	29.7	31.1
Transfers to households	62.2	67.9	73.8	84.0	89.3
Transfers abroad	3.9	3.9	4.2	5.1	5.1
Interest payments	13.4	15.0	17.5	21.6	25.2
Total	194.4	208.4	235.8	266.4	290.9
Surplus before loan transactions	13.8	31.0	36.7	8.8	3.6
Surplus before loan transactions corrected for oil taxes, transfers from Bank of Norway and outlays to oil activities	–21.9	–15.5	–9.7	–0.3	5.3

1. Secretariat estimates and forecast.
2. Including transfers from Bank of Norway.
3. Including outlays to oil activities.

Source: OECD and Ministry of Finance.

7½ per cent despite a sharply-reduced external leakage. Financial market deregulation has proceeded fairly rapidly in the last few years. This has resulted in some increased efficiency in financial transactions and improved transparency as evidenced by lower interest rate margins and a smaller grey market. The efficiency of monetary policy is still, however, being impaired by rigidities in the interest rate formation. Difficulties in controlling the demand side of the credit market primarily reflect the low interest-rate sensitivity of borrowers due to the tax deductability of interest payments. Therefore, regulations were reintroduced in 1986 mainly in order to limit the *supply* of credit, but these were largely circumvented by sharply rising non-guaranteed loans from the grey market. The key to a more efficient working of monetary policy is to enhance the interest sensitivity of the credit market, while allowing interest rates to move more freely. In response to renewed foreign exchange market speculation in late 1986, short-term interest rates have been increased further. Given the external current account deficit projected for 1987, combined with continued high cost inflation, nominal interest rates may remain high.

Wage developments and competitiveness. Agreement in the decentralised 1986 wage negotiations in the L.O./N.A.F.-area was only reached after a lock-out. In manufacturing, the collective agreements concluded during 1986 increased the overall wage level between 1985 and 1986 by 2 to 3 percentage points. Since wages at the end of 1985 were already exceeding the yearly average by 3¼ per cent ("carry-over"), the year-to-year wage growth

before wagedrift in 1986 amounted to about 5¾ per cent. With a continued tight labour market, wagedrift remained high in 1986 at 3½ per cent (Table 6). Thus, all-in-all, the yearly increase in hourly wages in *manufacturing* attained 9½ per cent. 1986 settlements also included a reduction of the working week by 2½ hours for workers with a forty-hour working week with full compensation from 1st January 1987. This is estimated to add 4½ percentage points to hourly wages in manufacturing[14]. The carry-over in 1987 could on present wage trends be 3½ to 4 per cent. As a technical working hypothesis it is assumed that the wage round in 1987 will result in a prolongation of the 1986 settlement. If wagedrift moderates to say 2½ to 3 per cent, hourly wages in manufacturing may increase by as much as 12 per cent. Assuming that one third of the shortening of the working week will be matched by productivity increases and taking the devaluation into account, relative unit labour costs in common currency after having declined by about 2 per cent in 1986 are projected to rise by a similar magnitude in 1987.

Table 6. **Wage developments and competitiveness**

Per cent changes, year on year

	1983	1984	1985	1986[1]	1987[1]
1. Hourly wage cost, manufacturing	11.2	9.8	8.0	9½	12
2. Productivity, manufacturing	5.9	3.8	1.3	1½	3¼
3. Unit labour cost [1 – 2]	5.0	5.8	6.6	8	8¾
4. Effective exchange rate[2]	–3.8	0	–1.6	–6¼	–4¼
5. Unit labour cost in common currency [3 + 4]	1.2	5.8	5.0	–1¾	4½
6. Unit labour costs abroad in common currency	0	2.7	3.9	3¾	2¾
7. Relative unit labour cost in common currency [5 – 6]	1.2	3.1	1.1	–2	1¾

1. Secretariat estimates.
2. Exchange rates are assumed unchanged as from 4th November 1986.
Note: Columns may not add up due to rounding.
Source: OECD.

Domestic demand, the mainstay of the economic upswing in 1985 and 1986, is expected to decline slightly in 1987 (Table 7). Government purchases of goods and services are assumed to slow in line with policy intentions. Under the combined impact of high inflation, increased overall taxation and some recovery of the saving ratio, consumer spending in 1987 is likely to remain broadly unchanged. Following an increase of nearly 25 per cent in 1986, total investment demand is foreseen to shrink, with cutbacks in energy investment. In private business, the growth of capital spending may be curbed by sluggish domestic sales prospects. The contributions to demand from stockbuilding are usually dominated by shipping and oil investments and are therefore hard to predict. In 1987, stockbuilding may rise again somewhat without preventing, however, total domestic demand from falling short of its 1986 level.

Export developments were disappointing in 1986 reflecting decelerating market growth, depressed prices as well as insufficient international competitiveness, and the pull from domestic markets. The lagged effects of the devaluation should stimulate 1987 exports of traditional goods but given tight supply conditions and the prospect of renewed worsening of

Table 7. **Short-term prospects**

Per cent volume change from previous year

	1985	1986	1987	Official forecast 1987[1]
Private consumption	8.2	4¾	–¼	0.0
Public consumption	3.4	2½	1¼	1.2
Gross fixed investment	–21.9	25½	–6¾	–6.0
of which:				
Oil sector	–41.5	67	–23½	–23.6
Housing sector	–0.9	8½	2	3.0
Public sector	0.9	–¼	2½	2.4
Other business sector	6.8	15¾	2½	3.2
Final domestic demand	–1.6	9	–1¾	–1.4
Change in stocks[2]	4.0	–¾	½	0.7
Total domestic demand	2.7	7¾	–1¼	–0.6
Exports of goods and services	10.0	3¾	4½	4.6
Imports of goods and services	7.7	10¼	–4	–3.7
Foreign balance[2]	1.7	–2½	4¼	3.7
GDP	4.2	4½	3	3.2
GDP deflator	5.5	–2½	3½	..
Private consumption deflator	5.8	7¼	8	..
Employment	2.1	3	1	..
Unemployment rate[3]	2.5	2	2¼	..
Memorandum item:				
Mainland GDP	4.3	3¾	1	1.3

1. National Budget 1987.
2. As a percentage of GDP in the previous period.
3. Level.

Source: OECD and Ministry of Finance.

cost competitiveness, some small losses of market shares may occur. Exports of other goods (mainly used ships and oil rigs) are forecast to be reduced, while energy exports in volume may rise by more than 10 per cent. Domestic production was insufficient to cover demand growth in 1986, thus entailing sharp volume increases in *imports* of goods and services. However, as domestic demand is likely to be sluggish in 1987 and as imports of ships are expected to be reduced, the level of overall imports is projected to fall in 1987 by about 4 per cent.

With sluggish domestic demand developments, *output* in Mainland Norway may not grow by more than 1 per cent, but including oil, the advance of total GDP may reach 3 per cent. *Employment* growth, which has been exceptionally high in 1985/86, is likely to slow down in 1987. The shortening of the working week may somewhat increase the demand for labour, but this will be partly offset by the employment effect of lower real output growth. Nevertheless, the labour market is likely to remain tight with the unemployment rate unlikely to rise much above the 2 per cent mark. The demand pressure on *prices* is projected to abate in 1987, but strong cost push factors will take over as discussed above. Given a sizeable carry-over (some 4 percentage points), the private consumption deflator may rise by 8 per cent between 1986 and 1987, with a deceleration in the course of the year.

Following a swing into a deficit of the order of 6½ per cent of GDP in 1986, the *current external deficit* may widen to as much as 7 per cent of GDP in 1987. This forecast deterioration is wholly attributable to increased foreign debt servicing and a further fall in energy prices reflecting the delay in gas price adjustments. In fact, the traditional trade deficit is projected to stabilise and energy export volumes to rise (Table 8).

Table 8. **The balance of payments**

	1985		1986		1987	
	Volume	Price	Volume	Price	Volume	Price
	Per cent changes from previous year					
Exports of goods	12.5	–2.3	5.6	–26.3	6.7	–5.3
Oil and gas	4.7	3.7	9.7	–42.1	12.8	–15.2
Traditional goods	4.0	3.6	–1.0	–5.0	3.5	4.8
Other[1]	95.6	–28.0	19.6	–18.1	–14.5	–6.8
Imports of goods	8.3	5.4	14.3	–1.0	–5.6	6.3
Traditional goods	11.8	6.2	13.0	0.0	–3.7	6.4
Other[1]	–41.9	4.8	32.0	–11.8	–30.5	3.4
	$ million					
Trade balance	4 532		–2 504		–2 355	
Invisibles, net	–1 549		–1 932		–2 734	
Current balance	2 983		–4 436		–5 089	

1. Ships, oil rigs and other items related to the oil and shipping sectors.
Source: OECD.

II. THE SIZE OF THE MEDIUM-TERM ADJUSTMENT PROBLEM

An assessment of the macroeconomic implications of continuing low oil prices must necessarily take a longer-term view. The nature of the problems facing the authorities is closely related to the way in which oil revenues have been absorbed in the economy in the past and the economic links which have developed between the oil sector and Mainland Norway over the last ten years or so.

The oil sector and its links with Mainland Norway

Explorations on the Norwegian continental shelf began in 1966 and the first discoveries were made in the late 1960s. Oil production started in 1971 and increased strongly from 1975 onwards following the opening of pipelines to the United Kingdom (Diagram 6). In 1985 about 800 000 barrels were produced per day. Gas production started in 1977. By 1980 it attained a level corresponding to that of oil production but remained virtually stable thereafter. In total, oil and gas production increased from about 7.8 million tons oil equivalents (Mtoe)[15] in 1975 to 63.9 Mtoe a decade later. Norway emerged as a net exporter of petroleum in 1975, and in 1985 produced almost nine times more than was consumed domestically. Norway's share in world energy production is, however, small (some 1.2 per cent for oil and 1.8 per cent for gas in 1984). The corresponding figure for oil exports is larger (some 3 per cent in 1984) and considerably higher for natural gas (above 11 per cent in 1984) making Norway the largest net exporter of oil and gas in the OECD area[16].

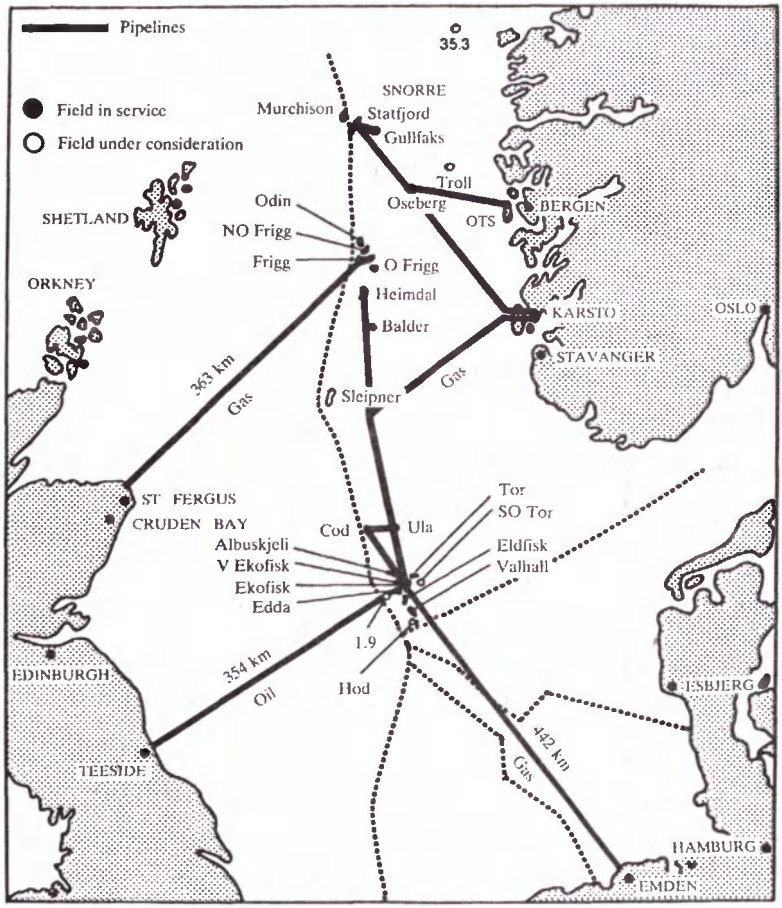
The number of employed in the oil sector is small. In 1985 only some 9 300 persons were engaged in oil production and drilling. Including exploration, transport, catering, and construction of platforms and supply ships, employment reached nearly 64 000 or about 3 per cent of the labour force. Taking into account intermediate deliveries to the oil sector broadly defined, the number would be even higher, perhaps some 6 per cent of the labour force.

The increasing oil dependence of the Norwegian economy is clearly reflected in four key statistics: the share of the petroleum sector in GDP rose from 2½ per cent in 1975 to nearly 20 per cent in 1985; oil investments have increased steeply since the mid-1960s, accounting for about 15 per cent of total gross investment in 1975 and 20 per cent in 1985; the share of oil and gas exports in total goods exports rose from 9 per cent in 1975 to as much as 49 per cent in 1985; finally, the contribution of oil tax revenues to total government income rose from 2 per cent in 1975 to 19 per cent in 1985.

The spending option

The sharp rise in the price of oil since 1973 and steadily increasing production levels boosted oil revenues, providing the financial basis for expansionary demand management and

Diagram 6 : **The continental shelf**



Source : Ministry of Oil and Energy.

for increased subsidisation of the business sector. This led to economic developments which in many respects compare favourably with trends elsewhere in OECD Europe (Table 9):

- Overall, as well as Mainland real GDP growth has been stronger and more stable than in other European OECD countries;
- Employment growth has been strong and unemployment, despite increased participation rates, has been kept down to comparatively very low levels;
- The current balance of payments has registered large surpluses since the late 1970s so that net foreign debt has been significantly reduced (to 8 per cent of GDP at the end of 1985);
- The general government budget, in contrast to virtually all other OECD countries, has remained in comfortable surplus.

Table 9. **Aggregate performance indicators**

	1975-83 Average	1983	1984	1985	1986[1]
GDP, per cent growth					
Norway	3.8	4.5	5.6	4.2	4.5
Mainland Norway	2.6	2.5	3.6	4.3	3.5
OECD Europe	1.8	1.5	2.6	2.5	2.5
Employment, per cent growth					
Norway	1.9	0.6	0.7	2.1	2.9
OECD Europe	–0.1	–0.4	0.0	0.5	0.8
Unemployment rate					
Norway	2.1	3.3	3.0	2.5	1.9
OECD Europe	7.0	10.4	11.0	10.9	10.9
Current balance, per cent of GDP					
Norway	–3.5	3.7	5.9	5.1	–6.5
OECD Europe	–0.6	0.1	0.5	0.7	1.4
General government net lending, per cent of GDP:					
Norway	2.9	4.8	8.0	8.5	2.9
OECD Europe	–3.5	–4.8	–4.5	–4.1	–4.0

1. Secretariat estimates.
Sources: OECD Historical Statistics 1980-84 and *Economic Outlook 40*.

In resource-rich countries, governments are faced with a difficult intertemporal choice of how to use the wealth resulting from natural resources. This issue was thoroughly debated in Norway in the early 1970s. The initial plan was to develop and spend oil revenues cautiously so as to minimise the social and economic costs of structural adjustments. However, while oil production and exports developed much in line with initial expectations, oil wealth was sharply increased by the rise in the price of oil and the dollar exchange rate. In these circumstances, it proved difficult to resist competing and excessive sectoral claims on resources for various social and regional purposes. Sectoral policy became increasingly ambitious as concrete goals in real terms for expenditures in many sectors were established. This in turn made fiscal policy more rigid and difficult to use for the purpose of economic stabilisation. As a result, an overly expansionary fiscal policy has been pursued during most of the period supporting domestic demand growth as well as non-viable production structures.

A rapid absorption of oil money into the domestic economy must necessarily involve an appreciation of the *real* exchange rate[17] – through appreciation of the *nominal* exchange rate, through inflation, or through both – as a vehicle for shifting resources from the exposed to the sheltered sectors. In the case of Norway it can be argued that this process of relative price adjustment has not only gone too far but has also relied too much on inflation; indeed, the nominal exchange rate has depreciated rather than appreciated. Employment and sectoral objectives have resulted in permanently tight labour market conditions and strong wage cost pressure. To cushion the consequences the Government has resorted to subsidisation of traditional industries and repeated devaluations of the krone. This policy of permitting strong pressures for structural change to develop while at the same time taking income and employment measures to counteract such adjustment must have negatively affected overall

economic efficiency and the supply responsiveness of the economy to changing relative prices and demand conditions. In this context, it should be noted that subsidies have been concentrated in farming, fisheries, shipbuilding and some State-owned firms.

Reflecting steadily deteriorating international competitiveness the manufacturing sector has performed poorly for more than a decade. From 1975 to 1985 output remained broadly unchanged (while it grew by more than 25 per cent in the OECD area) and employment fell by 13½ per cent. As noted above, a partial offset to market losses abroad and at home has been found in greater deliveries to the oil sector. In recent years, 50 to 60 per cent of orders from the oil sector have been placed with domestic manufacturers. The growing importance of the offshore market for domestic producers is reflected in a recent survey among larger industrial firms:

- In the sixty-five largest manufacturing firms 13 per cent of gross revenues in the period were related to the oil sector;
- About one-third of the turnover in large metal, machinery and equipment companies was related to deliveries to the oil sectors;
- In shipbuilding the number of hours allocated to the oil sector increased from 7 per cent in 1978 to 40 per cent in 1984.

In sum, the growth of the oil sector allowed Norway to maintain high spending and employment levels over a period when most of the OECD area suffered from relatively weak demand and rapidly rising unemployment. The oil dependence of the domestic economy has, therefore, increased rapidly, as perhaps most visibly reflected in the growing share of oil revenues in public sector income and in the changing composition of Mainland output. The build-up of oil production capacity has been rapid, mostly financed abroad, and led to a rapid build-up of foreign debt during the 1970s. Since then there has been a marked reduction in total net foreign indebtedness, reflected mainly in a sharp rise of foreign exchange reserves and an elimination of central government foreign debt. However, at some 8 per cent of GDP by end-1985, the relative foreign debt position has only improved moderately compared to the pre-oil era, implying that little provision has been made during the years of the "oil bonanza" to sustain spending during periods of weak oil prices.

Unsustainable medium-term imbalances with unchanged policies

The financial consequences of the 1986 oil price fall for the petroleum sector and government finances are dramatic. Based on an average oil price of $15 per barrel and an exchange rate of Kr 7 to the dollar, the oil price in local currency has declined by as much as 60 per cent from its late-1985 level. The "mechanical" revenue effects for the remainder of the 1980s are summarised in Table 10 where the consequences of two price scenarios are shown. Even allowing for steadily increasing production and export volumes, the cumulative decline in the oil sector's foreign exchange earnings between 1985 and 1989 would be in the "best" case about Kr 100 billion (20 per cent of 1985 GDP) and in the "worst" case about Kr. 140 billion. Government oil tax incomes would plunge even more strongly, namely by Kr 140 billion in the $20 barrel case and by Kr 160 billion in the $15 per barrel case.

The medium-term outlook. Although considerable uncertainties surround any medium-term projections, such an exercise helps to assess the size and the duration of the adjustment needed to correct present internal and external imbalances. The National Budget 1987 attempts to draw up a picture of how the Norwegian economy could develop in the years up to 1995, based on the assumptions of broadly unchanged policies and a

Table 10. **Mechanical effects of the oil price fall**

Kroner billion

	1985	1986	1987	1988	1989
Export value					
$15 per barrel from 1986	88.2	57	48	51	57
$20 per barrel from 1988	88.2	57	48	67	76
Oil tax revenues					
$15 per barrel from 1986	51.5	18	10	10	11
$20 per barrel from 1988	51.5	18	10	20	23

Source: Ministry of Finance.

continuation of the deterioration of cost competitiveness experienced in recent years. Two scenarios with regard to the oil price were considered:

a) In a low-price case, the oil price remains at $15 per barrel (real 1985 prices) for the rest of this decade, rising steadily thereafter to $20 (real 1985 prices) by 1995;

b) In the high-price case, the oil price is assumed to rise to $20 per barrel in real 1985 prices from 1988 to 1991 and to jump to $33 in 1992.

Common to both scenarios are the assumptions of a sustained, though modest, growth of the international economy (2½ per cent real GDP growth per year for the OECD area), and a moderate rise in the household savings ratio from the all-time low attained in 1986. The 2 per cent per year worsening of Norway's international competitiveness is based on the technical assumptions of unchanged exchange rates and a wage formation process which is rather insensitive to the prospective deterioration of labour market conditions. The projections are not forecasts of likely developments but are meant to illustrate possible consequences of a continuation of recent relative price trends and economic policies.

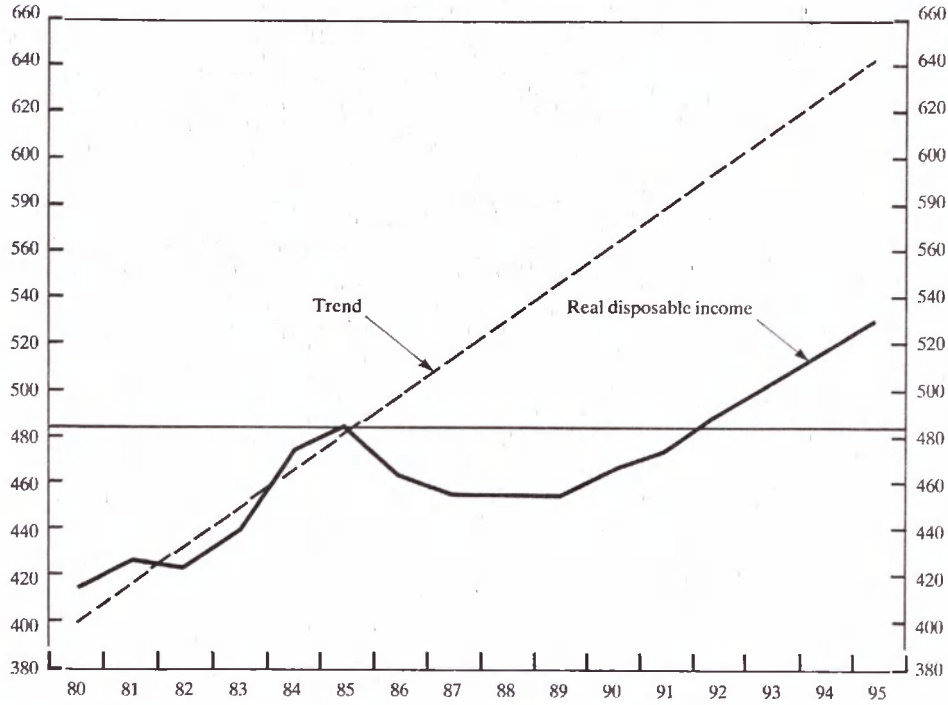
The main economic trends projected into the next decade (1987-1995) would on such assumptions be the following:

- *Real GDP growth* would on average be 1¾ per cent per year, with domestic demand growing by about 2 per cent;
- *Production in the traditional exposed sector* would decline by about ½ per cent per year. This must be seen against the 2 to 3 per cent output growth which according to the Long-Term Programme 1986-1989 would be required for combining full employment with approximate balance in the current external account in the medium term;
- *Employment* (measured in hours) in 1995 would be only 2 per cent higher than in 1987, implying considerable slack in the labour market;
- *The current external* deficit would attain 8 to 9 per cent of GDP in 1995 in the low price alternative. In the higher oil price case the current external account would return, temporarily, to a surplus position in the years 1992 to 1994, but would fall back into deficit again thereafter;
- *Net foreign debt* would in the low (high) oil price scenario attain 60 to 65 per cent (20 to 25) per cent of GDP.

All-in-all, the exercise clearly demonstrates that even in the event of a significant slowing down of domestic demand growth, unsustainable imbalances would develop unless major improvements in competitiveness occur.

Terms of trade and real national incomes. An alternative way of gauging the size of the adjustment problem is to focus on the effects of terms-of-trade losses, their implications for real incomes and the build-up of foreign debt. Developments in real GDP do not capture the direct income loss for Norway associated with the oil price decline. The notion of incomes available for spending is equivalent to the concept of real disposable national income which takes into account changes in terms of trade and in transfer and interest payments abroad. Real disposable income for Norway is officially projected to fall by 5¾ per cent in 1986 and by 2¾ per cent in 1987. Total terms of trade will on the above oil price and exchange rate assumptions deteriorate by more than 25 per cent in the period 1985 to 1987. Taking into account also higher interest payments on the sharply rising foreign debt, real disposable income for Norway may not (according to Secretariat estimates) regain its 1985 level before 1992 (Diagram 7). This corresponds to a total income loss in 1990 of Kr 70 billion (in constant

Diagram 7 : **Real disposable income**
(Kr. Billion)



Source : Ministry of Finance and OECD

Note: The real disposable income projection is based on the low oil price alternative (the oil price in real 1985 prices, remains at $15 per barrel for the rest of this decade, rising steadily thereafter to $20 by 1995) and is compared with a continuation of the trend prevailing in 1980-1985.

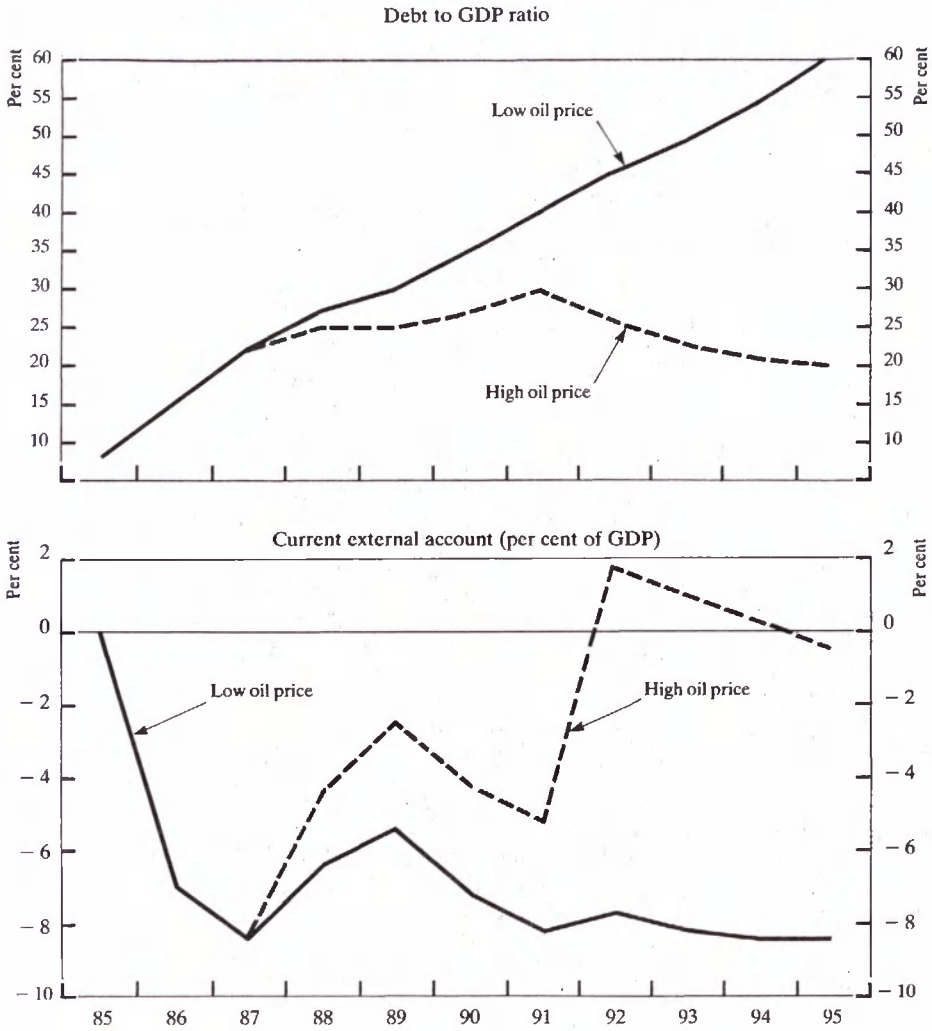
1985 prices) compared to a situation where the terms of trade had remained unchanged. Cumulatively for the period 1985-1995, the loss amounts to around Kr 600 billion or more than GDP in 1985.

The counterparts to these income losses, if not accompanied by parallel and corresponding demand reductions, would be rising current external deficits and foreign debt. As noted above, following a surplus of 5 per cent of GDP in 1985, the current external account will show a deficit in 1986, probably of the order of 6½ per cent of GDP, and deteriorate further in 1987. With oil export revenues increasing in line with the volume of exports, the trade balance could by 1990 register deficits of around 4 to 5 per cent of GDP. Under the assumption of unchanged real international interest rates, transfer and interest payments could increase from about 2 per cent of GDP in 1985 to 4 to 5 per cent of GDP by 1990. The resulting current external deficit – 8 to 10 per cent of GDP – would persist until 1995 with the deficit becoming increasingly structural in nature due to rising interest payments on foreign debt. In the high oil price scenario there is only a temporary relief from the external constraint. With a gradual increase in the real price of oil to $20 per barrel by 1990, the deficit in the foreign balance might decline somewhat in the late 1980s to an average of about 5 per cent of GDP. Only the very sharp (and highly uncertain) rise in the real oil price to $33 per barrel (1985 prices) after 1991 would bring the current account back into temporary surplus (Diagram 8).

Persistent current account deficits would lead to a rapid build-up of foreign debt. With cumulative current external account deficits of some Kr 70 billion in 1986 and in 1987, the foreign debt/GDP ratio will jump from 8 per cent in 1985 to 21 per cent in 1987. While such a level of foreign indebtedness is still lower than at the peak of the capacity build-up of the energy sector in the late 1970s and is not placing Norway among the larger debtor countries in Europe, the speed of debt accumulation is clearly a matter of serious concern. Assuming unchanged real interest rates in international markets, projected current account deficits suggest that Norway would be beset by a self-fuelling spiral of increasing interest payments and foreign debt in the medium term. In the low oil price case, the debt-to-GDP ratio is projected to increase steadily to more than 60 per cent of GDP by the middle of the next decade (Diagram 8). Even if possible to finance, such high foreign indebtedness would have severe consequences for the economy and for policy. The room for manœuvre in the pursuit of domestic policy goals would be seriously reduced. Servicing of the debt would increasingly "crowd out" normal imports and, hence, for any given current external balance objective, would require a lower growth of domestic demand. Debt servicing which in 1986 corresponded to 4 per cent of total exports of goods and services could climb to 13 per cent, which, though high, is still below the 20 per cent mark often referred to as a critical threshold for the evaluation of a country's creditworthiness and related investment risks. Proven gas and oil reserves may modify such risks.

The increased oil-dependence of Mainland Norway is compounding the adjustment problem. As noted above, the direct effects of the build-up of production capacity in the petroleum sector on Mainland Norway was limited in the initial phase: employment in the oil sector was small and most deliveries connected with the build-up of capacity came from abroad. This situation has changed progressively, as the direct links with the on-shore economy have strengthened. Norwegian firms increasingly have become sub-contractors of deliveries to the oil sector. Currently, oil-dependent employment is estimated to be at least ten times employment in the oil sector itself. Therefore, the very sharp decline in oil-investment activity predicted for the next decade will severely hit important parts of the Mainland

Diagram 8 : **Foreign debt and the current external balance**



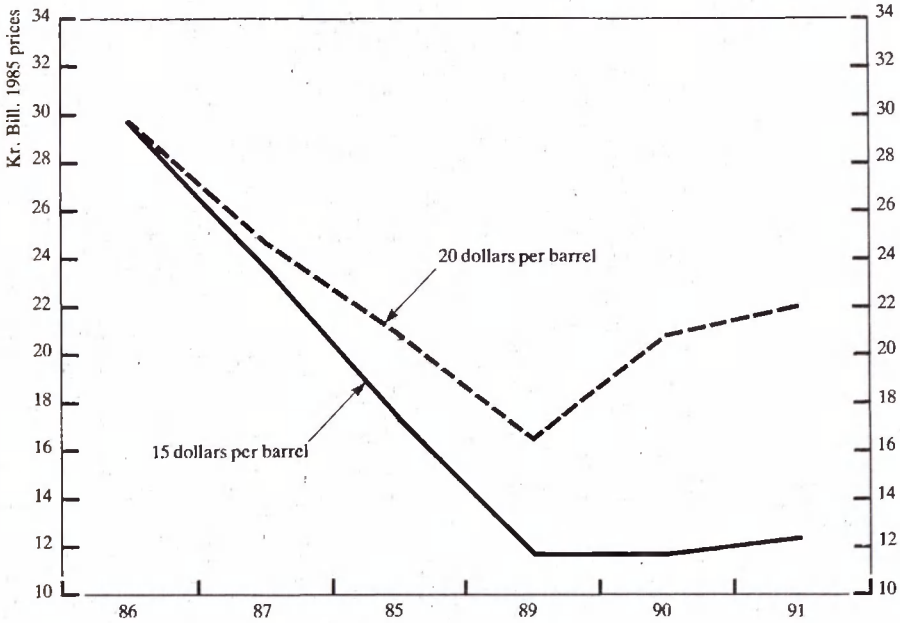
Source : Ministry of Finance

Note: In the low price case the oil price (real 1985 prices) remains at $15 per barrel for the rest of this decade, rising steadily thereafter to $20 by 1995; in the high price case the oil price is assumed to be $20 per barrel from 1988 to 1991 and to jump to $33 per barrel in 1992.

economy, and reduce its employment capacity (Diagram 9). Investments in the oil sector reached an all-time peak in 1986 (at Kr 37 billion, more than 7¼ per cent of GDP) and a decline would at any rate have been expected. In the low price scenario in the National Budget, the resulting profit squeeze is projected to entail very considerable reduction in investment activity on the continental shelf. Assuming that investment will continue only in

active fields or in fields where exploration has already been decided, investment outlays in volume might be halved to Kr 14 to 16 billion by 1990 (Kr 18 to 22 billion in the high price scenario). Such a reduction in "field investments" would hit some parts of industry severely[18].

Diagram 9 : **Investment in the oil sector**



Source : Ministry of Finance

III. MEDIUM-TERM POLICY REQUIREMENTS

The decline in oil prices enforces on the economy a lower path of real national income in the years ahead. Given the limits to foreign borrowing as a viable option, aggregate domestic demand has to be scaled back, with obvious consequences for the labour market. However, to the extent that it proves possible to restrain domestic demand while at the same time expanding internationally-competing sectors, a major rise in unemployment could be avoided. Success in this direction will require a substantial improvement in international competitiveness combined with a high degree of supply responsiveness and factor market flexibility. Provided that determined and credible economic policies are being pursued, the present strong financial position of the Norwegian economy should make it possible to achieve a smooth adjustment of living standards to the lower actual and prospective real disposable income levels associated with terms-of-trade deterioration and the rising interest payments abroad. In 1985 the general government financial balance showed the largest surplus ever (Kr 38 billion), and despite the sharp decline in oil tax revenues, a broad budget balance was maintained in 1986[19]. Also, the financial external position is relatively strong. As noted above, Norway's net external debt has been progressively reduced after the rapid oil-sector-related build-up in the mid-1970s. At the end of 1985 it amounted to some 8 per cent of GDP, entirely incurred by the private sector. But even with a rise in the real price of oil at some time in the next decade, the need to achieve a far-reaching restructuring of the Norwegian economy would remain. Norway had embarked on a course which had to be reversed even without a drastic fall in revenues. This is perhaps best illustrated by the worsening of the Mainland Norway current external deficit which in 1986 reached about 17 to 18 per cent of GDP.

Policy options

It is difficult to say how much adjustment the Norwegian economy has to undergo in the coming years. A rapid return to balance in the current external account, say over the next two years, would be far beyond what is economically and politically feasible. On the other hand, the "do nothing" scenarios summarised above are clearly undesirable and unsustainable over the medium term. With a view to highlighting policy problems and trade-offs between various policy options the Secretariat has tried to assess the necessary changes in the level and structure of aggregate demand required to prevent an excessive build-up of foreign debt. If, for example, nominal GDP grows at an annual rate of 7 per cent, a gradual reduction of the current external deficit from 7 per cent of GDP in 1987 to some 3 per cent by 1992 would do no more than stabilise the debt/GDP ratio at some 40 per cent. Eliminating the current account deficit altogether over the same period would still leave Norway with a foreign debt ratio of 35 per cent at the end of 1992, diminishing only slowly thereafter.

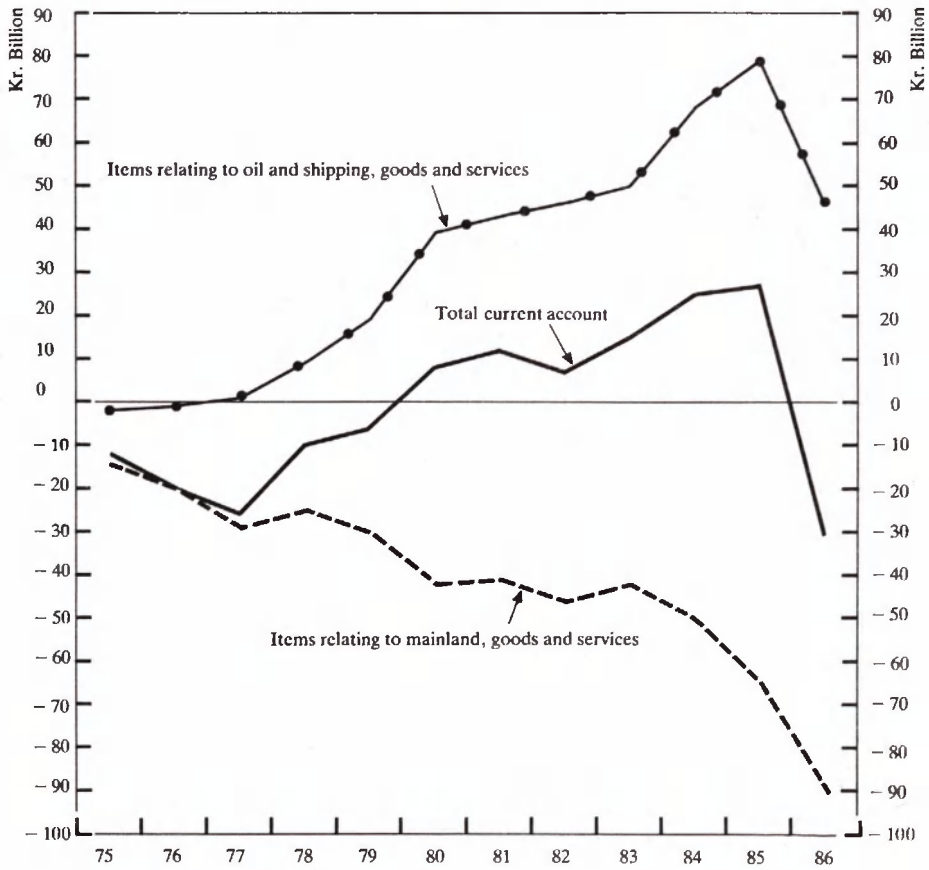
Containing the foreign debt/GDP ratio by demand restraint *alone* would place a considerable and perhaps excessive burden on demand-management policies. With developments in world trade and in Norwegian international competitiveness as described in the medium-term scenarios above (Part II), real exports of goods and services cannot be expected to grow by more than 2 per cent per year[20]. Taking into account rapidly growing foreign

interest payments, there would thus be no room for expanding imports and hence domestic demand even in the case where the debt/GDP ratio were to be stabilised around the 40 per cent level. Part of the necessary import reduction would, as noted above, come from lower investment in the oil sector. However, even so, given normal income and demand elasticities domestic demand of Mainland Norway would have to remain flat on average over the next five years. Seen in isolation, this would reduce the demand for labour and lead to a sharp increase in unemployment.

Higher national savings are needed

Any sustained improvement of the current external balance requires a rise in national savings to avoid domestic real asset formation bearing the brunt of adjustment. In the years 1980 to 1985, with current external surpluses, Norway became a net supplier of funds to other countries. However, a sectoral breakdown (Diagram 10) reveals that over this period it was mainly the oil sector which generated the financial savings (subsequently transferred to the

Diagram 10 : **Sectoral current account balances**



Source : Ministry of Finance

Government). As noted above, adjusted for oil revenues the government ran significant financial deficits and Mainland Norway incurred large and growing current account deficits, reflecting insufficient savings relative to investment. With sharply reduced oil revenues, it would be unrealistic to count on the oil sector as the principal supplier of savings (directly or indirectly) even if investment activity were to be substantially reduced. A larger contribution must come from the non-oil domestic sectors, both public and private.

The household sector's savings rate has dropped significantly in recent years. From a longer-term average of some 4 to 5 per cent, the savings rate fell in 1985 to 0.5 per cent and turned negative in 1986. This low level is a feature only shared with a few other countries. In parallel, households' debt/diposable income ratio increased sharply (to 102 per cent), probably reflecting easier access to credit following the deregulation of financial markets, and deductibility of interest payments. Household gross indebtedness is distinctly higher than in the few countries for which comparable data are available. Over the medium term, household savings may recover somewhat from its present cyclical low. In the years ahead, amortisations of the high current indebtedness will automatically raise the saving ratio. However, it is uncertain how far the adjustment will go. Higher savings will induce lower consumption and hence a better current external account than in the scenarios presented above. On the other hand, the fall in the savings rate in recent years may also reflect a more permanent reduction. In that case, the burden of adjustment falling on the public sector must necessarily increase. The medium-term projections in the National Budget 1987 assume some rise in the household savings ratio, but not a return to its pre-1984 levels.

Contributions to higher national savings should therefore also come from the public sector. However, the overall budget balance is expected to move from a surplus of 7½ per cent of GDP in 1985 one of about 1 per cent in 1987, mainly reflecting the fall in oil tax revenues. Secretariat estimates point to a further marked deterioration of the budget position by the end of this decade (Table 11)[21]. The central government budget deficit could attain some 5 to 6 per cent of GDP by 1990 and the associated gross debt/GDP ratio could reach some 30 per cent. Moreover, gross interest payments might increase to about 4½ per cent of GDP or some 9 per cent of total expenditures. The financial position of the government in 1986 was strong, with net financial assets amounting to some 12 per cent of GDP and no foreign debt

Table 11. **Medium-term budget trends**

Per cent of GDP

	1987	1988	1989	1990
Total revenues	45.8	44.6	44.2	43.8
Oil taxes	2.9	1.9	1.7	1.5
Other revenues	42.9	42.7	42.5	42.3
Total expenditures	44.6	45.6	47.1	49.2
Government oil activities	3.1	2.6	2.4	2.3
Interest payment	3.6	3.6	3.9	4.5
Other expenditures	37.9	39.4	40.8	42.4
Surplus before loan transactions	1.2	–1.0	–2.9	–5.4
Government gross debt	25.2	24.5	25.8	29.5
Government net debt	–12.7	–10.9	–7.3	–1.4

Sources: Ministry of Finance, OECD Secretariat estimates.

outstanding. However, on present trends this comfortable situation would be rapidly eroded as from 1988 onwards with the Government likely to become a net debtor in the early 1990s. While there is clearly a need for fiscal retrenchment to prevent an explosive build-up of debt, the room for manœuvre may be limited unless legal and perceived constraints are loosened.

Containing the government budget deficit may involve some increase in taxation. However, the tax burden in Norway is among the highest in the OECD area, with marginal tax rates in 1986 of up to 67 per cent. High marginal taxes tend to increase pressures for selective deductions. This has led to a complicated tax system, where high income groups tend to benefit most from deductions and where income redistribution aims are only partially achieved. The Government has recognised the need to streamline the present tax system. To this end a "gross taxation" system has been proposed to supplement the ordinary income tax system[22]. This may involve lower marginal tax rates for medium-income groups. However, greater progress in this direction would seem desirable, calling for a further broadening of the tax base thereby enabling both a fiscal tightening and a more general reduction of marginal tax rates. In particular, it would be desirable to reconsider the full deductibility of interest payments in the "net income" taxation system. Moreover, assessment of real estate values which form the basis for imputed rents on owner-occupied dwellings and the wealth tax bears no relationship to actual market values. While the removal of tax distortions and the streamlining of the tax system are important goals in their own right, they cannot be expected, and indeed should not serve to solve the prospective budget imbalance problem given the need to reduce the overall tax burden. Hence, increased public sector saving must also be mainly achieved through significant expenditure restraint.

Controlling public sector expenditure growth is rendered difficult for both political and institutional reasons. In the National Budget 1987 about 75 per cent of central government outlays (of which two-fifths are transfers) were classified as virtually automatic due to legislation, contracts or perceived political constraints and moral obligations (Table 12). This

Table 12. **Rigidity in public sector spending**

Central government expenditures, 1986

	Billion kroner	Per cent
A. "Regulated" expenditures	212.1	74.9
1. Wages costs	16.0	7.5
2. Transfers	163.9	77.3
of which:		
Subsidies	13.3	6.2
Pensions	40.8	19.2
Sick pay	9.3	4.4
Municipalities	33.6	15.9
3. Defence	16.1	7.6
4. Interest payments	16.1	7.6
B. "Discretianory" expenditures	53.2	25.1
1. Non-wage consumption	9.6	4.5
2. Investment	4.7	2.2
3. Public enterprises	7.9	3.7
4. Other (mainly transfers)	28.9	13.6
Total	265.3	100.0

Source: Ministry of Finance.

upward pressure on spending will if left unchecked entail spending growth ahead of GDP in the future. Indeed, assuming no change in quality trends or coverage of benefits, projections in the Long-Term Programme 1986-1989 point to a rise in government expenditures to about 70 per cent of GDP, excluding oil, by the turn of the century if no effective measures to curb public spending are introduced. If so, transfers will continue to be the strongest-growing item in public outlays. On current rules and practice, real pension outlays may increase by more than 3 per cent a year and their share in gross national income will rise steeply as a result of demographic trends and the maturing of the supplementary pension system. In recent years, there have also been improvements in individual benefits, at least in line with average income developments. Business sector support has over the last fifteen years or so increased annually by about 8 per cent in volume, compared to public expenditure growth of below 5 per cent. There has been a particularly strong increase in subsidies to farmers following the parliamentary decision in 1975 to level farmers' incomes with that of manufacturing workers. Since 1982, however, overall support for the business sector has been reduced slightly in nominal terms. Interest payments may increase strongly in the years ahead as growing deficits are likely to develop. Interest rates on domestic debt can be expected to remain high, notably in the absence of a significant tightening of fiscal policy.

International competitiveness, productivity and the wage formation process

The employment effects of restraining domestic demand will be attenuated to the extent that it proves possible to augment foreign demand for Norwegian production and reduce Norwegian demand for foreign products. Shifting resources to the exposed sector requires a sustained improvement in international competitiveness and reduced demand pressure and wage growth in sheltered industries. If new capacity has to be put in place before net exports can be increased the reallocation of resources will be further delayed.

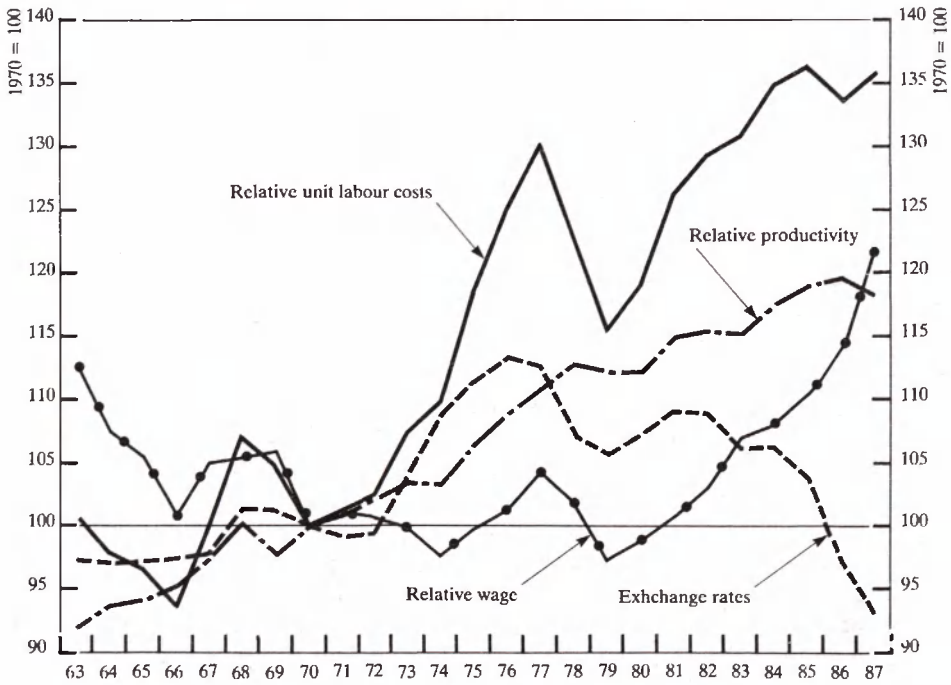
The needed reallocation of resources to the import and export-competing sectors would appear to be considerable if a sustainable external debt/GDP ratio is to be attained. In 1987, the coverage ratio (i.e. the ratio of total exports to total imports) may decline to 0.85. Thus, in order to achieve balance in the current external account over the next five years, the volume of total exports must grow by an average of 3½ to 4 per cent per year, even with no further increase in imports beyond what is induced by higher exports. If oil exports expand in line with official projections (3 per cent per year), and there is no further growth in exports from the shipping sector, traditional exports must expand by 5 to 6 per cent per year. Finally, if domestic demand and imports develop as assumed in the medium-term projection, average export volumes must grow by at least 8 per cent per year. This is twice the probable rate of growth of Norway's export markets and implies an increase of employment in the exposed sector of 15 000 to 20 000 per year over the next five years. This presumes not only that labour is available and mobile (both in quantity and quality) but also that such an increase in production is profitable i.e. that there is a major improvement of international competitiveness.

It is difficult to quantitatively assess how much competitiveness must improve to "crowd in" sufficient net real exports. Based on the elasticities embedded in the INTERLINK model a 2 per cent decline in relative unit labour costs in common currency per year over five years would lead to a permanent improvement in the current external account by 3 per cent of GDP after five years. Such a calculation is of course rudimentary and unlikely to capture all the relevant aspects of the adjustment process. Nevertheless, it underlines the urgency of moderating very considerably the rise in wages, bringing it into line with what is warranted by the new economic situation. As noted above, a strengthening of a country's competitive

position may be achieved either through domestic inflation being lower than abroad or an exchange rate depreciation or a combination of both. Past experience shows, however, that for a small open economy it is extremely difficult to maintain an exchange-rate-induced improvement in competitiveness in conditions of tight labour markets and a wage formation system characterised by strong wage-price and wage-wage links. Following a currency depreciation, the ensuing improved profit position tends to lead to higher wage growth in the exposed sectors. This will spread to the rest of the economy, reinforcing the upward pressure on costs and prices resulting from higher import prices. Thus, there would seem to be asymmetry in the role exchange rate policy can usefully play in the case of domestic absorption of "oil money" and in the reverse case. Indeed, given past experience, it may even be argued that further resort to exchange rate adjustments might be counter-productive, as necessary structural adjustment and policy changes may be delayed.

The needed improvement in international competitiveness may be difficult to achieve under present institutional arrangements. Looking at the individual components of the unit labour cost measure, there are two striking features to be noted (Diagram 11). Firstly, following some improvement in the late 1970s (mainly related to the temporary price and wage freeze), Norwegian wage costs in local currency have increasingly moved out of line with developments abroad. A further marked deterioration in competitiveness is predicted for 1987 given notably the full compensation for the shortening of the working week. Secondly, manufacturing productivity growth has been significantly weaker than elsewhere. While

Diagram 11 : **Decomposition of relative unit labour costs**



Source : OECD

efforts to improve international competitiveness might to some extent rely on measures to raise productivity and to improve supply conditions, both qualitatively and quantitatively, the main part of the adjustment must clearly come from wage moderation.

Slow productivity growth over the past ten to fifteen years may not be unrelated to policies applied in the pursuit of ambitious employment and sectoral policy targets. Sectoral or regional employment problems, initially perceived as reflecting cyclical fluctuations in business activity, have in many cases been caused by structural change. But the policy response has too often involved demand stimuli as well as selective support policies (Table 13). The level of industrial subsidisation is higher than in most other European OECD countries. It is difficult to judge to what extent the poor aggregate productivity performance reflects shifts in employment towards low productivity sectors. Whatever the proximate cause, the slow growth of average productivity is clearly worrying since rates of capital accumulation have been higher than in many other countries. "Over-investment" has been spurred by the relatively low, often negative, real cost of borrowing and powerful tax incentives. However, output in manufacturing was constant between 1975 and 1985, and the high incremental capital/output ratio suggests that real returns on invested capital have been low[23].

Table 13. **Subsidies**

Support per man-year in per cent of average compensation per man-year

	1973	1977	1980	1983	1985
Agriculture	21.2	56.1	58.7	66.8	63.7
Forestry	7.4	13.2	14.8	15.8	12.9
Fishing	15.9	33.4	44.4	35.3	35.5
Manufacturing	3.2	4.4	6.1	9.0	7.8
of which:					
Shipbuilding	..	24.5	51.5	72.8	117.3
State-owned companies	15.9	14.5	17.4	40.5	33.6
Service sector	–	–	–	0.4	0.3
Total	3.2	6.1	9.9	7.2	6.3
Memorandum item:					
Total business sector support in per cent of GDP	1.8	3.6	3.4	3.5	3.0

Sources: Ministry of Finance, Central Bureau of Statistics and OECD Secretariat.

The required moderation of wages in exposed sectors may be difficult to achieve in the present system of wage-setting. The economic and institutional features of wage and income formation have been discussed at length in earlier OECD Surveys of Norway (e.g. 1982 and 1983). The key elements in understanding the wage determination process would seem to be the following:

a) Wage bargaining in manufacturing is dominated by collective settlements, either centralised (at the national level) or decentralised (at the industrial level). In addition, there are local negotiations at the plant level to take account of enterprise-specific features;

b) Settlements typically cover a two-year period with a yearly renegotiation clause often related to relative income thresholds;

c) Agreements between the Trade Union Congress (LO) and the Employers' Confederation (N.A.F) have traditionally acted as pace-setters for other unions and the non-unionised labour market. However, with the mushrooming of competing independent unions in both private and public labour markets, the leading and moderating role of the LO has diminished in recent years;

d) It has been an important goal for several trade unions to reduce wage differentials. The inflationary momentum is likely to be reinforced in such a situation, notably in conditions of tight labour markets, since attempts at narrowing wage differentials often trigger off wagedrift at the enterprise level[24];

e) Government involvement in this process has varied over time. During the 1970s, trilateral negotiations were a common feature, with the factual and technical framework for bargaining being outlined by a neutral "Technical Calculation Committee". In the 1980s, the former Government refrained from direct involvement, but offered *ex ante* tax cuts in the annual budgets with a view to damping nominal wage claims.

In addition, the Government is a negotiating partner in income settlements for an increasing number of often powerful pressure groups (e.g. fishermen, farmers, public sector employees and pensioners). Indeed, about 50 per cent of all incomes are "negotiated" which, due to a high degree of transparency in society, has powerful demonstration effects, strengthening wage-wage links and intensifying struggles for higher income shares.

There are several reasons why government attempts to influence nominal wages have had limited success. Strong rises in the remuneration of labour in the oil sector and rapidly growing oil revenues have undoubtedly raised income aspirations in society in general. More importantly, the role of the government either as a negotiating partner or as the guarantor of full employment has ultimately accommodated too high settlements by expansionary demand management and currency depreciation. Pressure groups have not been allowed to experience the employment consequences of settlements which went beyond what was macroeconomically warranted, thus weakening discipline and willingness to accept moderation. Moreover, the incentives for employers to take the costs of strikes in order to resist excessive wage increases has been seriously weakened by their experience of being bailed out by government through demand management and devaluations.

IV. CONCLUSIONS

Following a period of rapid output and employment growth, general government budget surpluses, and a strong foreign balance, Norway will have to undergo a period of severe domestic expenditure restraint accompanied by a major shift of resources towards export and import-competing sectors even if the oil price were to firm somewhat again:

- In the near term, there is an urgent need to reduce pressures on resources in order to counteract the risk of accelerating inflation and renewed loss of competitiveness after the May 1986 devaluation, and to limit the current external deficit;
- Over the medium term, a major reallocation of labour and capital towards the exposed sector will be needed to restore better external balance and sustainable high-employment conditions.

The recent fall in oil prices has revealed the extent to which the Norwegian economy has become dependent on oil revenues. In conditions of full-employment the domestic absorption of large oil revenues has necessarily been associated with a significant loss of international competitiveness, the mechanism by which a transfer of resources is induced from the exposed to the sheltered sectors. But this process, instead of taking the form of an *ex ante* appreciation of the nominal exchange rate with its counter-inflationary impact, has come about by higher domestic inflation. Indeed, given much higher inflation than on average elsewhere, the krone has even been devalued several times over the last decade. On occasions, notably after 1983, policies became unduly expansionary, with excessive demand pressures, marked shortages of labour and sharp wage increases.

The pressures on the domestic resources has been particularly marked in the last three years:

- Domestic demand increased by more than 20 per cent in volume or twice that of the OECD area;
- Employment expanded three times as fast as in the preceding three-year period;
- Inflation has remained high with the differential *vis-à-vis* major trading partner countries widening significantly since early 1985. Hourly earnings in manufacturing after rising by 9½ per cent in 1986 may show a further increase of some 12 to 13 per cent in 1987, compared with 4 to 5 per cent per year in main trading partner countries;
- From 1983 to 1986 the Mainland Norway current external deficit rose by Kr 40 billion to Kr 90 billion (17 to 18 per cent of GNP). Over the same period, imports of goods in volume increased by more than 50 per cent, while export of goods (excluding oil) rose by less than 5 per cent.

The stance of monetary policy was tightened in early 1986, but key money and credit aggregates have continued to overshoot targets, though at diminishing rates. Also, with high inflation, real after-tax interest rates have remained low. Fiscal policy was tightened on several occasions in 1986 and in the 1987 Budget, altogether amounting to some 2 per cent of

GDP. But given the prospect of rapidly increasing foreign debt, further declines in real disposable national income and accelerating costs, the action taken so far would clearly seem insufficient.

Projections in the 1987 National Budget for the years up to 1995 suggest that, based on trends in the period 1983-1986, foreign indebtedness would reach unsustainable levels if oil prices stayed low and the deterioration in international competitiveness continued. Even if the oil price were to rise to $33 per barrel (in real 1985 prices) at the beginning of the 1990s, foreign indebtedness could rise to an uncomfortably high level. On the assumptions made in both scenarios unemployment would reach intolerably high levels. Should the foreign debt projections materialise there might also be a serious question about Norway's standing as an international borrower and independence of economic policy-making.

Both short and medium-term adjustment needs call for a major tightening of demand-management policies. Obviously, the resource shift problem cannot be effectively tackled before inflation is brought under control and before resources are freed in the sheltered and offshore sectors. Therefore, the first task of policy must be to reduce inflationary pressures through a further tightening of fiscal and monetary policies. The disinflationary process will lead to a rise in unemployment from a very low level. Indeed, recent experience shows that an average 2 per cent rate of unemployment generates excessive pressures on the labour market, with marked shortages of labour and strong increases in wages. The extent of policy tightening needed to reduce internal imbalances will depend *inter alia* on the mobility of the labour force and the responsiveness of wages.

But strengthening the foreign balance also requires a significant improvement in Norway's international competitiveness, i.e. a reversal of movements accompanying the earlier *rise* in oil prices. In view of the difficulties in containing the wage-price spiral in the event of a downward adjustment of the exchange rate, the improvement of international competitiveness should be achieved through lower (wage) inflation at home than abroad and improved productivity performance. It is important to note that, with the foreign debt rising rapidly, the longer corrective policies are delayed, the bigger will be the eventual adjustment required.

It is desirable that tighter demand-management policies should include significant fiscal retrenchment. Reducing public expenditure to the limits imposed by uncertain revenue trends may require a lowering of ambitions in transfer and sectoral policies. It is important to implement expenditure cuts which promote structural adjustment and overall economic efficiency. In this context, it would be desirable that subsidies to the business sector be cut back, and that any demand or income support, if deemed necessary, be designed as temporary and conditioned on firm commitments to structural adaptations. There would also seem room for scaling back transfers without compromising the comprehensive welfare system which has broad political support in Norwegian society. More generally, consideration should be given to reducing rigidities in public sector spending programmes.

An area where the present situation may provide an opportunity to remove distortions and inefficiencies is the deductibility of interest payments from taxable personal income which has pervasive effects on household behaviour. The tax reform, effective as from 1987, represents a first step in this direction. Reducing tax allowances would broaden the tax base, thereby enabling both a fiscal tightening and a lowering of marginal tax rates. The latter are among the highest in the OECD area and clearly have negative incentive and allocative effects. Moreover, less generous tax treatment of interest payments would increase the interest sensitivity of loan demand and make it easier to control the expansion of credit. A more flexible formation of interest rates would not only increase the efficiency of monetary policy but also promote a better allocation of resources.

Tighter demand management and easier labour market conditions should, over time, reduce the pressure on wages. But incomes policy would also seem to have an important role to play in the reduction of inflation. The Government has stated that measures in this direction will be taken, but no details have yet been announced. In the present situation, a prolongation of existing wage settlements would be desirable; in the absence of such a measure, there is an obvious risk of continuing higher inflation. Beyond the immediate future, with the importance the Authorities attach to high employment, wages may tend to rise faster in Norway than elsewhere. To counteract this tendency, a moderating influence on wage and income formation is required. The question of how to organise this influence is a key issue which deserves immediate attention so that a better system of wage and income formation can be put in place before the existing two-year settlements fall due for renegotiation in early 1988. The Government should try to set a pattern for other sectors by ensuring moderate settlements in the public sector. Moreover, it is desirable that policy should be less accommodative to destabilising income claims outside the public sector.

Finally, given the poor productivity performance, there is a pressing need to supplement traditional demand and incomes policies by vigorous action to promote structural change and to increase labour and capital efficiency. The greater the success of supply-side measures, the less income restraint would be needed. A marked reduction in the high level of subsidies could be a useful step in restoring greater dynamism in the Norwegian economy and in strengthening the operation of markets. Encouragement of innovations and risk-taking might also enhance the competitiveness and responsiveness of the enterprise sector.

In sum, Norway is facing difficult adjustment problems in both the short and medium term. Since pressures on labour markets are projected to remain high in 1987, a further tightening of economic policies would be appropriate. Moreover, with high inflation and unsustainable current external deficits, the adjustment measures to be taken must be commensurate with the size of the problems. Consumption has to be adjusted to sustainable future income levels, and pronounced structural changes have to take place to strengthen the foreign balance. The smoother and quicker the required shift in output and expenditure patterns, the smaller the losses in employment which will inevitably occur during the process of restructuring and adaptation to lower levels of real national income.

NOTES AND REFERENCES

1. See OECD, *Economic Survey of Norway*, January 1986.
2. However, due to recognition lags and large data revisions, the degree of overheating was fully realised only in late 1985.
3. From a long-term average of some 4 to 5 per cent, the household saving ratio fell to 0.5 per cent in 1985 and further to -0.1 per cent in 1986.
4. In particular, car purchases increased steeply up to mid-1986 and are estimated to have contributed almost 3 percentage points to the 8¼ per cent real growth of private consumption in 1985.
5. In part, this reflects the cyclical sensitivity of Norwegian exports. Given the existing commodity composition of traditional exports, in particular the heavy weight of semi-manufactured goods such as metals, pulp and paper, these tend to grow over-proportionally fast in the early phase of an upswing, with a reverse pattern dominating the latter phases.
6. Between the beginning of the year and the 9th May, the Bank of Norway sold foreign exchange to the tune of some $4½ billion (net).
7. As from late 1985, the exchange rate index had been kept in the upper ("weak") quarter of the swing margin. If the exchange rate index stays close to the new central value, this implies an effective depreciation of 9.2 per cent.
8. See Annex for further details.
9. In this "grey" market the non-financial sector operates on both the creditor and debitor side of the market, while financial institutions act as "brokers". For further information on recent structural developments in financial markets, see OECD, *Economic Survey of Norway*, January 1986, Part III.
10. The proposed tax reform involves a shift to gross taxation entailing little increase in the average tax burden. Indirect taxes are raised by an average of 6.5 per cent, real estate taxes by 10 per cent and wealth taxes by 0.2 per cent.
11. The official wage assumptions imply almost flat wages through 1987 for public employees given a 5 per cent carryover from 1986 and the already negotiated adjustment of 1 per cent to take effect on 1st January 1987.
12. This approach consisted of offering personal tax reductions in the annual budgets aimed at moderating wage claims in central as well as local negotiations between the social partners. See further Part III.
13. For a review of industrial and agricultural support policies, see OECD *Economic Survey of Norway*, February 1985.
14. Since part of the manufacturing labour force is already working less than forty hours per week, the 2½ hour reduction of the working week from 40 hours will not lead to a full 6¼ per cent increase in hourly wage costs.
15. One barrel of oil corresponds to 159 litres. The weight of Norwegian oil is about 0.83 kilograms per litre. Thus the production of 100 000 barrels per day gives a yearly output of 4.8 million tonnes.

16. Norway's oil production in 1984 was equivalent to the combined oil consumption of Denmark, Sweden and Norway.
17. The real exchange rate is defined as the nominal exchange rate deflated by a relative price or cost index. A rise (fall) in domestic inflation or in unit labour costs relative to developments abroad will at unchanged nominal exchange rates imply a real appreciation (depreciation) and a loss (gain) of international competitiveness. Similarly, a revaluation (devaluation) of the exchange rate will at unchanged prices or same price trends at home and abroad imply an increase (decrease) in the real exchange rate.
18. The Government has recently eased the taxation of oil companies to the tune of Kr 1 billion with a view to sustaining investment activities on the continental shelf. For further details see Annex.
19. The strong government budget position reflects in part automatic revenue effects of the sharp increase in domestic demand.
20. This implies steady market losses for traditional exports to the tune of 2 per cent per year, in line with performance in recent years.
21. Expenditure projections are based on those incorporated in the official Long-Term Programme allowing, however, for some slippage. Consistent with other medium-term projections in this Survey, non-oil revenues have been adjusted downwards to take account of the prospective slower real income growth.
22. For further details see Annex.
23. See National Budget 1987.
24. See, e.g. Gylafson, T and A. Lindbeck *Competing wage claims, cost inflation, and capacity utilisation* in European Economic Review 24 (1984) pp.1-21, North Holland.

Annex

CHRONOLOGY OF MAIN ECONOMIC EVENTS

1985

January

Primary reserve requirements for private banks and finance companies in southern Norway were increased from 10 to 11 per cent and 7 to 11 per cent respectively.

Interest rates on government bills were reduced from 10¼ per cent to 8½ per cent.

Banks' bond investment obligation was abolished and set at zero for life insurance companies.

Creation of a certificate market for the issuing of short-term papers by the Government, private companies and banks.

Seven foreign banks were allowed to establish in Norway.

March

The Long-Term Programme 1985-1989 was submitted to Parliament.

The Government proposed full deductibility of interest payments on hire purchase from personal income.

April

Centralised Wage agreements for the second year of the two-year settlement were reached in all main sectors. The main elements were:

- No additional increase in wages rates in the LO/NAF area, but a minor pay increase for certain low-wage industries;
- A general pay increase of 4½ per cent in the public sector.

Including carry-over and assumed wage drift, the average wage increase from 1984 to 1985 was calculated to be approximately 6¾ per cent.

New law of the Bank of Norway voted by Parliament. The new legislation formalised earlier established practices, which leave the responsibility for monetary policy with the Ministry of Finance while the Bank of Norway operates mainly in an advisory and executive capacity.

May

Revised National Budget for 1985 put forward to Parliament:

- Central government deficit, excluding oil and transfers from the Bank of Norway, estimated to be 7¼ per cent of GDP excluding oil and shipping;
- Monetary aggregates were adjusted upwards following strong overshooting of bank lending.

June

Primary reserve requirements for banks in southern Norway increased from 11 to 15 per cent. At the same time the calculation of such requirements was changed being based on lending and bond purchases.

In connection with the revision of currency legislation several liberalisation measures were taken, including:

- Virtual full liberalisation of purchases of Norwegian shares by foreigners;
- Liberalisation of trade of Eurobonds in the secondary market;
- Abolition of currency licence of direct investment;
- Permission to foreign financial institutions to accord merchandise credit up to five years without limit.

July

Bond investment obligation of life insurance companies abolished.

September

General election. The Government remained in office, but lost its majority.

System of interest rate declarations was suspended and replaced by a surveillance system.

Direct regulation of finance company lending concerning factoring and leasing abolished.

October

The National Budget 1986 was presented to Parliament:

- Central government budget was projected to turn into overall deficit in 1986; adjusted for oil taxes, transfers from the Bank of Norway and government petroleum activities, the deficit was expected to increase from 6.2 per cent in 1985 to 6.7 per cent in 1986 as a percentage of GDP excluding oil and shipping and;
- The 1985 Target for domestic credit supply was adjusted upwards compared with the revised Budget by Kr 16 billion to Kr 65 billion, and set at Kr 53 billion for 1986.

December

The 1986 budget voted by Parliament:

- Revenues and expenditures estimates increased by Kr 6 billion and Kr 3 billion respectively compared to the draft Budget;
- Central government deficit, adjusted for oil and transfers from the Bank of Norway as a percentage of GDP excluding oil and shipping was projected to be 4½ per cent.

1986

January

Primary reserve requirements for banks were increased by 2 per cent to 17 per cent and progressive supplementary reserve requirements on lending growth were introduced with rates of 10 and 20 per cent;

Primary reserve requirements of 2.5 per cent for to life insurance companies were introduced and those related to factoring and leasing increased from 11 to 14 per cent;

Regulation of bank guarantees for grey market lending reintroduced.

Government five and seven year bonds were issued at a coupon interest rate of 13.1 per cent, implying increases of 0.4 to 0.7 per cent, respectively.

April

The Parliament voted part of a government package including higher social security contributions and reductions in subsidies. This was expected to improve the budget balance by about Kr 1 billion on a yearly basis.

Wage agreements for the new two-year settlement were reached only after a lock-out in the private sector and a strike in the public sector. Main elements were:

- Centrally-agreed wage increase in LO/N.A.F. area of 2 to 3 per cent;
- Public sector wage increases in the range of 3¼ to 6¼ per cent;
- Working hours per week were reduced from 40 to 37.5 hours with full compensation taking effect from 1st January 1987; this is estimated to add about 5 per cent to the hourly wage in manufacturing and 2 to 2½ per cent for the total economy.

May

The minority coalition government replaced by a minority labour government.

The krone devaluated effectively by 10 per cent.

The 1986 Revised National Budget was voted comprising increased gasoline, electricity and social security taxes and expenditure cuts of about Kr½ billion. The adjusted deficit was now estimated at 1¾ per cent of Mainland GDP compared to a projection of 4½ per cent in the final budget bill mainly as a result of higher-than-expected indirect taxes.

Progressive supplementary requirements on banks lending growth were increased from 10 to 15 per cent and from 20 to 25 per cent respectively. At the same time primary requirements were reduced from 17 to 10 per cent.

July

Government bonds issued with nominal coupon interest rate 13.1 per cent, i.e. unchanged from January.

The Government proposes changes in oil taxation to stimulate exploration:

- Government royalties on oil production in new fields set to zero;
- Depreciation allowed from the first investment year;
- Surtax on revenues from oil production reduced from 40 to 35 per cent, but at the same time the tax-free amount is abolished.

September

Government bonds issued with nominal coupon interest rate 12.8 per cent.

October

The National Budget 1987 presented to Parliament. Main elements were:

The oil-adjusted central government budget balance is projected to attain broad balance in 1986 and show a small improvement in 1987 amounting to about 1 per cent of GDP. Social security contributions rise sharply while government expenditures on goods and services grow more moderately. Transfers are forecast to show continued rapid growth.

Domestic liquidity supply growth is planned to be reduced from 9½ per cent in 1986 to 8 per cent in 1987.

The budget proposal included some reduction in the progressivity of central government income taxes, while social security contributions were raised substantially. The tax base for the latter is broader and no deductions are allowed. This change in the composition of taxes is therefore a step towards gross taxation.

December

The 1987 budget voted by Parliament:

- Revenues increased by Kr 4½ billion while expenditures remained broadly unchanged compared to the draft budget;
- Central government deficit, adjusted for oil and transfers from the Bank of Norway as a percentage of GDP excluding oil and shipping, was projected to ½ per cent.

BLANK PAGE

STATISTICAL ANNEX

BLANK PAGE

Table A. **Supply and use of resources**

Kr. million, current prices

	1976	1977	1978	1979	1980	1981	1982	1983	1984	1985
Consumers' expenditure on goods and services	89 486	103 915	110 670	120 104	135 241	155 205	175 310	192 979	211 371	241 917
General government current expenditure on goods and services	34 087	38 625	43 543	46 585	53 478	62 616	70 408	78 214	84 158	92 594
Defence	5 291	5 736	6 354	6 784	8 018	10 227	11 141	12 547	12 988	14 402
Civil	28 796	32 889	37 189	39 801	45 460	52 389	59 267	65 667	71 170	78 192
Gross fixed capital formation	62 000	71 074	67 705	66 186	70 798	91 793	92 262	103 448	117 631	107 963
Change in stocks	1 376	–1 576	–6 941	–460	8 104	–7 761	3 809	–4 332	–2 053	15 953
National expenditure	186 949	212 038	214 977	232 415	267 621	301 853	341 790	370 308	411 108	458 427
Exports of goods and services (non-factor)	70 173	76 264	87 221	105 407	134 795	156 288	165 023	183 921	213 196	234 984
Imports of goods and services (non-factor)	86 413	96 768	89 119	99 154	117 371	130 467	144 543	152 031	171 577	195 576
Gross domestic product in purchasers' values	170 709	191 534	213 079	238 668	285 045	327 674	362 270	402 198	452 726	497 835
Indirect taxes	31 011	36 327	37 946	41 106	49 024	55 696	61 747	69 733	77 757	90 954
Subsidies	11 624	14 111	16 446	16 743	19 960	21 795	23 662	24 439	25 708	26 953
Gross domestic product at factor cost	151 322	169 318	191 579	214 305	255 981	293 773	324 185	356 904	400 677	433 834
Depreciation and other operating provisions	26 280	31 060	34 598	36 878	41 358	48 053	55 007	59 615	63 633	68 403
Net domestic product at factor cost	125 041	138 258	156 981	177 427	214 623	245 720	269 178	297 289	337 044	365 431

Sources: National Accounts.

Table B. **Supply and use of resources**

Kr. million

	1976	1977	1978	1979	1980	1980	1981	1982	1983	1984	1985
	1975 prices					1980 prices					
Consumers' expenditure on goods and services	82 332	88 039	86 606	89 389	91 488	135 241	136 784	139 199	141 303	145 153	157 077
General government current expenditure on goods and services	30 819	32 339	34 068	35 277	37 191	53 478	56 763	58 985	61 727	62 946	65 114
Defence	4 772	4 765	4 954	5 133	5 450	8 018	9 236	9 289	9 895	9 896	10 461
Civil	26 047	27 574	29 114	30 144	31 741	45 460	47 527	49 696	51 832	53 050	54 653
Gross fixed capital formation	55 933	57 968	51 471	48 912	48 181	70 798	83 485	74 296	78 618	85 495	66 754
Change in stocks	1 579	–1 727	–5 418	–649	4 344	8 104	–7 024	3 041	–3 109	921	13 601
National expenditure	170 663	176 619	166 727	172 929	181 204	267 621	270 008	275 521	278 540	294 515	302 546
Exports of goods and services (non-factor)	69 191	71 704	77 718	79 724	81 392	134 795	136 651	136 451	146 453	157 372	173 079
Imports of goods and services (non-factor)	81 023	83 807	72 459	71 954	74 298	117 371	119 113	123 467	123 449	133 530	143 765
Gross domestic product in purchasers' values	158 831	164 516	171 986	180 699	188 298	285 045	287 546	288 505	301 545	318 357	331 859
Depreciation and other operating provisions	23 812	25 732	26 806	27 691	28 625	41 358	43 656	44 772	46 244	48 135	48 849
Net domestic product at market prices	135 019	138 784	145 180	153 008	159 673	243 687	243 890	243 732	255 301	270 223	283 010

Sources: National accounts.

Table C. **Gross domestic product by industry of origin**

Kr. million, current prices

	1976	1977	1978	1979	1980	1981	1982	1983	1984	1985
Agriculture, forestry and fishing	9 655	11 025	11 392	11 712	12 639	14 938	15 531	15 157	16 998	17 875
Mining and quarrying, incl. oil exploitation	7 141	8 330	13 814	21 870	42 178	51 339	56 890	68 726	85 132	93 597
Manufacturing	34 316	36 214	38 313	43 542	44 487	48 234	51 116	57 270	63 731	67 273
Electricity, gas and water	5 736	5 984	7 618	8 805	9 684	11 877	14 033	16 751	19 029	21 959
Construction, incl. oil drilling	12 785	15 039	17 265	17 325	19 265	22 175	25 401	26 407	27 757	29 562
Maritime transport	9 221	9 075	9 773	10 929	13 166	14 317	12 584	12 709	13 938	13 180
Other transport, storage and communication[1]	10 246	11 629	13 404	14 549	16 399	19 496	22 184	25 031	27 284	29 467
Wholesale and retail trade	22 901	25 828	28 490	29 214	35 841	41 272	45 335	48 401	53 399	58 956
Banking and insurance	9 170	10 634	11 798	14 577	16 823	21 052	25 914	28 729	29 757	35 184
Hotels and restaurants	2 219	2 698	3 003	3 216	3 626	4 358	5 199	6 075	6 900	8 195
Dwellings	6 692	7 564	8 247	8 991	10 067	11 609	13 402	15 001	16 671	18 080
Commercial buildings	1 464	1 882	2 063	2 284	2 644	3 061	3 539	3 997	4 452	5 042
Community, social and personal services	33 251	38 214	42 649	45 487	51 392	59 160	67 199	74 541	80 911	88 994
less: Imputed bank service charge	4 959	5 629	6 158	7 278	8 724	11 349	14 318	15 960	15 443	17 379
Other correction items	10 871	13 046	11 408	13 445	15 558	16 135	18 261	19 363	22 210	27 850
Gross domestic product in purchasers' values	170 709	191 534	213 079	238 668	285 045	327 674	362 270	402 198	452 726	497 835

1. Including pipeline transportation of oil and gas.
Sources: National accounts.

Table D. **Gross domestic product by industry of origin**

Kr. million

	1976	1977	1978	1979	1980	1980	1981	1982	1983	1984	1985
	1975 prices					1980 prices					
Agriculture, forestry and fishing	8 520	8 646	8 355	8 609	8 786	12 639	13 804	14 378	14 216	15 621	15 466
Mining and quarrying, incl. oil exploitation	6 741	7 335	11 773	14 174	17 402	42 178	40 583	40 832	48 021	55 228	58 927
Manufacturing	32 446	31 993	31 430	32 099	31 611	44 487	43 985	43 844	43 422	44 486	45 557
Electricity, gas and water	5 314	4 849	5 377	5 890	5 611	9 684	10 519	10 699	12 098	12 185	12 043
Construction, incl. oil drilling	11 780	12 715	14 005	13 894	14 042	19 265	19 039	19 242	19 595	19 886	20 073
Maritime transport	10 853	11 264	10 766	10 313	10 506	13 166	13 489	12 612	12 674	13 441	12 805
Other transport, storage and communication[1]	9 326	9 598	10 612	11 850	12 508	16 399	16 776	16 715	17 402	18 531	19 367
Wholesale and retail trade	20 680	21 776	22 071	22 924	23 282	35 841	35 282	34 525	34 875	37 118	39 868
Banking and insurance	8 179	8 562	8 726	9 270	9 343	16 823	17 697	18 196	17 854	18 119	19 508
Hotels and restaurants	1 931	1 941	1 947	2 015	1 898	3 626	3 570	3 330	3 347	3 360	3 698
Dwellings	6 260	6 613	6 700	7 027	7 363	10 067	10 352	10 756	10 963	11 318	11 679
Commercial buildings	1 384	1 594	1 711	1 825	2 118	2 644	2 755	2 873	2 913	3 025	3 246
Community, social and personal services	30 202	31 807	33 309	34 756	36 209	51 392	53 624	55 977	57 860	59 037	60 878
less: Imputed bank service charge	4 736	4 885	3 314	4 610	2 861	8 724	8 985	9 205	9 543	10 157	10 899
Other correction items	9 950	10 708	8 505	10 663	10 480	15 558	15 056	13 371	15 848	17 159	19 643
Gross domestic product in purchasers' values	158 830	164 516	171 986	180 699	188 298	285 045	287 546	288 505	301 545	318 357	331 859

1. Including pipeline transportation of oil and gas.

Sources: National accounts.

Table E. **General government income and expenditure (new SNA)**

Kr. million

	1976	1977	1978	1979	1980	1981	1982	1983	1984	1985[1]
Current revenue	87 413	98 531	111 732	124 505	155 852	174 034	193 959	214 841	247 281	281 497
Indirect taxes	31 011	36 327	37 946	41 106	49 025	55 695	61 747	69 733	77 757	90 954
Social security contributions	21 866	24 733	27 757	29 914	34 224	38 699	43 494	47 149	50 516	57 000
Direct taxes	29 464	31 583	37 900	44 201	61 260	65 657	70 604	76 722	87 622	97 910
Income from interest	3 934	4 846	6 604	7 667	9 384	11 629	13 710	15 701	21 307	25 413
Other income	1 137	1 042	1 525	1 617	1 960	2 353	4 404	5 536	10 079	10 220
Current expenditure	75 280	87 620	101 522	111 892	129 010	148 185	166 863	186 451	201 665	211 178
Purchase of goods and services	34 086	38 625	43 543	46 585	53 478	62 616	70 408	78 214	84 158	92 594
Defence	5 296	5 741	6 360	6 789	8 026	10 235	11 151	12 559	12 998	14 414
Civil	28 790	32 884	37 183	39 796	45 452	52 381	59 257	65 655	71 160	78 180
Subsidies	11 624	14 111	16 446	16 743	19 960	21 795	23 662	24 439	25 708	26 953
Interest on the public debt	4 214	5 467	7 015	8 931	11 182	12 647	13 834	16 607	18 807	21 479
Current transfers	24 763	28 497	33 674	38 961	43 161	50 253	57 787	66 062	71 787	78 036
To households, etc.	23 679	27 049	31 916	37 023	40 975	47 636	54 516	62 212	67 917	73 824
To the rest of the world	1 084	1 448	1 758	1 938	2 186	2 617	3 271	3 850	3 870	4 212
Other expenditure	592	920	844	672	1 229	874	1 171	1 130	1 205	2 116
Net current saving	12 133	10 911	10 210	12 613	26 842	25 849	27 096	28 390	45 616	60 319
Depreciation and other operating provisions	1 380	1 616	1 867	2 026	2 327	2 658	2 979	3 187	3 398	3 838
Gross saving	13 513	12 527	12 077	14 639	29 169	28 507	30 075	31 577	49 014	64 157
Gross fixed capital formation	8 154	9 322	10 737	10 344	11 454	11 603	11 525	12 411	12 857	13 706
Net lending	5 359	3 205	1 340	4 295	17 715	16 904	18 550	19 166	36 157	50 451
Memorandum item:										
Revenue from oil sector	3 223	3 332	6 057	9 923	23 488	26 289	29 248	35 723	43 465	52 022

1. Preliminary estimates.
Source: National accounts.

Table F. **Production by sector**

	Mining and manufacturing							
	Industrial production[1], 1980 = 100							
	Total	By sector of production		By destination				
		Oil and gas	Manufacturing	Exports	Consumption	Investment	Input in building and construction	Other input
1977	81	42	101	76	100	138	103	89
1978	89	68	99	86	101	133	108	83
1979	96	81	102	92	102	135	104	93
1980	100	100	100	100	100	100	100	100
1981	99	96	99	98	99	197	103	91
1982	99	97	99	99	99	117	102	100
1983	107	111	98	106	101	109	101	104
1984P	113	124	100	115	102	109	99	107
1985P	117	131	103	118	104	111	103	109

1. Averages of monthly figures.
Sources: Central Bureau of Statistics, *Monthly Bulletin of Statistics; Statistisk Ukehefte.*

Table G. **Labour market and employment**

	Labour market		Employment									
	Registered unemployment	Jobs vacant[1]	1 000 man-years		Employees (1 000 persons)							
	1 000 persons	Thousands	Self employed	Employees	Total	Agriculture, forestry fishing	Mining and manu-facturing	Building and construction	Commerce	Maritime transport, other transport and communications	Public adminis-tration	Other
1974	10.7	9.9	244	1 349	1 659	175	402	147	242	163	71	459
1975	19.6	6.0	238	1 358	1 707	159	423	147	238	158	85	497
1976	19.9	6.7	235	1 389	1 789	168	426	148	264	161	92	530
1977	16.1	8.8	232	1 425	1 824	165	419	156	274	171	89	550
1978	20.0	7.0	231	1 444	1 854	161	408	163	277	170	91	584
1979	24.1	6.2	231	1 455	1 872	161	397	151	277	172	92	622
1980	22.3	8.0	230	1 484	1 913	161	401	146	287	171	99	648
1981	28.4	6.5	225	1 496	1 932	164	404	150	296	179	100	639
1982	41.4	5.0	222	1 497	1 946	156	400	154	296	185	103	652
1983	63.5	3.3	221	1 488	1 957	146	375	153	295	179	110	699
1984	66.6	4.3	221	1 505	1 970	139	385	150	281	176	112	727
1985	51.4	5.8	222	1 550	2 012	144	388	151	295	171	116	747

1. Averages of number of unfilled vacancies at the end of the month.

Sources: Central Bureau of Statistics, *Monthly Bulletin of Statistics*, and *Statistisk Ukehefte*.

Table H. **Balance of payments**
National accounts basis
Kr. million

	1978	1979	1980	1981	1982	1983	1984	1985
Goods and services								
Exports, total	87 221	105 407	134 795	156 288	165 022	183 921	213 196	234 985
Commodities	57 863	70 007	92 863	106 899	114 798	133 249	157 018	172 634
Crude petroleum and natural gas from the North Sea	13 598	21 993	41 399	48 087	53 472	63 844	78 328	85 078
Direct exports in connection with oil activity[1]	359	940	443	1 643	378	392	1 993	357
Other commodities	33 560	41 682	47 194	52 397	53 459	61 053	70 386	75 865
Ships and oil platforms	10 346	5 392	3 827	4 772	7 490	7 959	6 311	11 333
New	6 701	1 467	1 402	668	2 291	2 491	926	1 057
Second-hand	3 645	3 925	2 425	4 104	5 199	5 468	5 385	10 276
Services	29 358	35 400	41 932	49 390	50 224	50 672	56 177	62 351
Gross receipts in connection with shipping and oil drilling	19 165	23 182	27 745	32 551	31 141	31 226	34 786	38 588
Travel	3 018	3 228	3 716	4 430	4 727	4 910	5 388	6 280
Other services	5 934	6 741	7 686	8 892	10 803	11 097	12 578	13 695
Other oil activity	1 241	2 249	2 785	3 517	3 554	3 469	3 425	3 789
Imports, total	89 119	99 154	117 371	130 469	144 543	152 031	171 576	195 577
Commodities	61 979	70 433	84 543	90 516	100 458	102 520	117 134	133 680
Direct imports in connection with oil activity	1 713	1 017	828	745	672	4 057	3 790	1 107
Other commodities	56 457	65 828	82 281	84 895	91 573	91 776	107 769	127 976
Ships and oil platforms	3 809	3 588	1 434	4 876	8 213	6 687	5 575	4 597
New	3 692	2 910	1 108	4 141	7 718	6 334	4 667	3 901
Second-hand	117	678	326	735	495	353	908	696
Services	27 140	28 721	32 828	39 953	44 085	49 510	54 442	61 897
Gross expenditures in connection with shipping and oil drilling	10 244	13 100	16 532	19 145	19 831	19 968	22 781	27 915
Direct imports in connection with other oil activity	3 117	2 175	1 622	3 031	2 949	5 671	5 584	3 566
Travel	5 661	6 042	6 486	8 470	10 583	11 586	12 143	14 599
Other services	8 118	7 404	8 188	9 309	10 721	12 285	13 934	15 817
Net goods and services	–1 898	6 253	17 424	25 820	20 480	31 890	41 620	39 408
of which:								
Selected items in connection with shipping[2]	8 428	9 461	11 706	10 905	9 359	10 287	11 710	17 203
Selected items in connection with oil activity[3]	10 338	21 731	41 932	49 092	53 360	56 487	72 875	83 756

Interest and transfers, net	–9 107	–11 531	–11 976	–13 360	–16 334	–17 245	–17 263	–13 770
From abroad, total	3 006	3 931	6 077	9 756	11 888	11 671	14 847	19 642
Interest and dividends	2 453	3 337	5 321	8 740	10 727	10 392	13 498	18 203
Transfers	553	594	756	1 016	1 161	1 278	1 350	1 439
To abroad, total	12 113	15 462	18 053	23 116	28 222	28 916	32 110	33 412
Interests and dividends	9 635	12 663	14 841	19 319	23 431	23 394	26 604	27 211
Transfers	2 478	2 799	3 212	3 796	4 791	5 522	5 506	6 201
Current Balance	–11 005	–5 278	5 448	12 460	4 146	14 645	24 357	25 638
Long-term capital, net	16 842	11 535	–4 094	–4 292	2 686	–10 755	–1 931	–6 924
Official	9 470	4 014	–2 215	–4 908	–8 864	–11 997	–4 220	22
Financial institutions	3 867	3 902	858	–1 030	–1 463	–976	4 432	4 149
Shipping companies	–1 179	187	–274	2 164	4 059	2 493	3 171	–2 190
Direct investment	2 232	1 804	–963	2 875	699	–156	–6 295	–8 739
Other	2 452	1 682	–1 500	–3 393	8 355	–118	980	–166
Basic Balance	5 837	6 458	1 553	8 373	6 832	3 891	22 426	18 715
SDR allocations	–	201	199	206	–	–	–	–
Valuation adjustment	–4 606	–414	2 505	–5 945	–14 125	9 473	10 960	–10 945
Short-term capital and errors and omissions	2 860	–1 637	3 089	3 913	14 905	–13 763	–9 773	–693
Change in gold and foreign exchange reserves	4 091	4 608	7 346	6 547	7 614	–399	23 613	7 077
Memorandum item:								
Gold and foreign exchange reserves, end of period	13 776	18 384	25 730	32 277	39 891	39 492	63 105	70 182

1. Including adjustments owing to the distribution of investment expenditures in respect of oil fields and gas fields developed in co-operation with United Kingdom.
2. Including net freight earnings from shipping, exports of second-hand ships and imports of ships.
3. Including exports of crude petroleum and natural gas, pipeline services, net receipts from oil drilling and second-hand oil platforms; imports of oil platforms and commodities and services direct to the North Sea.

Sources: Central Bureau of Statistics, *National Accounts 1978-1984*, and *Statistisk Ukehefte*.

Table I. **Foreign trade, total and by area**

$ million, monthly rates

	Imports, cif							Exports, fob						
	Total	OECD countries			Non-OECD countries			Total	OECD countries			Non-OECD countries		
		Total	OECD Europe		Comecon	OPEC	Others		Total	OECD Europe		Comecon	OPEC	Others
			EEC	Others						EEC	Others			
1976	925.7	789.2	411.1	231.9	29.3	56.1	51.1	659.8	553.8	370.0	136.5	24.7	16.3	65.1
1977	1 072.8	923.2	486.2	273.0	33.9	53.4	62.3	726.0	587.6	396.6	147.5	31.5	20.8	86.1
1978	951.9	816.7	428.1	257.9	27.7	49.7	57.6	836.6	699.5	496.5	142.0	32.6	18.1	84.2
1979	1 143.9	997.0	539.2	307.3	33.2	35.0	78.8	1 121.1	969.6	716.4	183.4	21.6	21.2	108.7
1980	1 413.0	1 236.2	677.8	350.2	30.8	47.4	98.6	1 541.0	1 376.1	1 101.6	205.4	22.6	34.6	107.7
1981	1 301.7	1 166.6	602.7	324.4	33.1	21.6	80.4	1 494.0	1 331.2	1 054.7	196.2	22.1	28.9	111.9
1982	1 287.7	1 134.4	584.5	329.0	47.8	12.4	93.1	1 462.1	1 301.5	1 051.5	188.4	17.8	22.8	120.0
1983	1 123.9	997.7	508.6	296.8	40.4	9.9	75.8	1 498.7	1 358.1	1 042.6	215.1	18.3	21.5	100.7
1984	1 155.0	1 020.5	526.7	303.5	41.7	9.1	83.6	1 574.3	1 430.5	1 101.7	213.4	13.6	11.4	118.8
1985	1 291.2	1 156.8	611.7	341.6	36.0	11.4	87.0	1 659.3	1 472.0	1 141.1	214.2	14.5	10.6	162.3

Source: OECD, *Foreign Trade Statistics, Series A.*

Table J. **Prices and wages**

	Consumer prices, 1979 = 100			Wholesale prices, 1981 = 100				Average hourly earnings Kroner	
		of which:						Industry	
	Total	Food	Rent, heating and light	Total	Consumer goods	Investment goods	Input	Males	Females
1976	80.9	84	78	65	65	74	68	30.44[1]	24.16[1]
1977	88.2	91	85	69	70	78	74	33.77	26.96
1978	95.4	96	94	72	75	83	77	36.44	29.24
1979	100.0	100	100	78	79	88	81	37.47	30.15
1980	110.9	109	112	90	89	95	91	40.97	33.55
1981	126.0	127	127	100	100	100	100	45.14	37.29
1982	140.3	145	143	106	109	105	107	49.76	41.42
1983	152.1	156	157	113	116	110	113	53.96	45.35
1984	161.6	167	169	120	124	114	119	58.59	49.15
1985	170.8	178	179	126	131	119	124	63.28	52.85

1. From 1.4.1976 the number of normal weekly working hours has been reduced from 42½ to 40.
Source: Central Bureau of Statistics, *Monthly Bulletin of Statistics.*

Table K. Money and credit

Kr. million

	Changes in money supply					Domestic lending by financial institutions								
	Government income surplus[1] and loan transactions, state banks and Central Bank	Commercial[2] Banks	Domestic liquidity supply	Foreign transactions	Change in broad money	Total[3]	Central Bank	Commercial banks	Savings banks	State Banks	Insurance companies	Mortgage credit institutions	Private financial institutions	Postal savings banks
						End of period								
1976	10 872	11 042	21 914	–6 786	15 128	134 609	1 355	33 036	26 330	43 985	10 689	14 992	3 775	1 525
1977	15 780	12 596	28 376	–11 713	16 663	157 903	5 492	38 749	30 463	52 653	11 434	19 465	4 162	1 983
1978	17 526	5 915	23 441	–10 220	13 435	179 793	2 139	41 653	33 362	64 394	12 538	21 776	5 103	2 345
1979	18 067	9 478	27 545	–8 926	18 619	203 797	1 188	45 691	37 700	75 944	13 570	25 027	5 375	2 722
1980	16 743	11 366	28 109	–9 872	18 237	227 020	814	49 986	41 882	86 454	14 585	29 537	5 590	2 884
1981	17 536	16 591	34 127	–13 721	20 406	255 670	2 064	56 589	47 792	94 330	16 080	35 536	6 724	3 074
1982	19 715	12 382	32 097	–12 063	20 034	286 968	1 882	63 169	53 307	101 925	18 542	41 337	9 975	3 648
1983	18 107	13 735	31 842	–12 049	19 793	320 544	3 652	70 253	59 958	108 357	22 580	48 087	12 450	4 090
1984	18 675	32 259	50 934	–5 062	45 872	375 793	1 542	89 228	75 628	116 650	27 401	53 547	15 278	4 557
1985	9 624	64 076	73 700	–31 755	41 945	448 981	4 147	116 635	100 227	121 793	34 467	61 210	18 656	4 993

1. Excluding oil taxes.
2. Including tax-free allocations to funds and saving with tax reductions.
3. Breakdown does not add up total.
4. From 31.1. 1977 all receipts and expenditure are gross figures.

Sources: Central Bureau of Statistics, *Monthly Bulletin of Statistics;* Central Bank, *Economic Bulletin.*

	Domestic credit by borrowing sector						The security market		Gold and foreign exchange holdings		
	(1) Municipalities	(2) Business: Total	(2) Business: of which: Agriculture, Fishing	(2) Business: of which: Mining and manufacturing	(3) Wage earners	Sum (1)+(2)+(3)	Bond issues: Domestic and foreign currency	Bond issues: Share issues	Total	of which: Official (including IMF position)	of which: Commercial and savings banks
	End of period						During period		$ mill. end of period		
1975							17 491	1 455	2 207	2 362	–335
1976	12 497	61 038	7 884	21 123	64 130	137 665	15 870	1 372	1 743	2 103	–412
1977	15 414	70 895	9 219	25 913	74 699	161 005	22 400	1 625	1 820	1 592	94
1978	19 915	80 879	10 814	29 229	82 605	183 399	25 485	1 730	2 628	2 720	–214
1979	26 530	88 668	12 387	31 346	92 159	207 357	24 735	1 685	3 642	4 064	–753
1980	30 507	94 564	13 855	32 782	105 617	230 688	22 580	2 749	5 198	7 517	–2 319
1981	33 083	106 704	15 557	35 613	119 726	259 513	23 235	2 014	5 561	7 271	–1 710
1982	35 399	115 489	17 140	37 010	139 907	290 789	24 598	2 385	6 167	8 386	–2 219
1983	38 869	128 541	18 612	40 185	153 468	320 878	39 687	3 141	5 402	8 159	–2 757
1984P	42 479	148 623	21 520	46 463	191 412	382 514	35 957	4 963	7 239	10 423	–3 184
1985	..	..	..	..	..	..	52 360	4 881	9 159	14 571	–5 412

Sources: Central Bureau of Statistics, *Monthly Bulletin of Statistics;* Central Bank, *Economic Bulletin;* IMF, *International Financial Statistics* and OECD, *Main Economic Indicators.*

BASIC STATISTICS :

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia
Population																											
Total	Thousands	1985	15 752	7 555	9 857	25 379	5 113	4 901	55 162	61 015	9 950	243	3 562	57 128	120 754	366	14 484	3 279	4 148	10 230	38 602	8 350	6 530	49 870	56 618	239 283	23 120
Inhabitants per sq.km	Number		2	90	323	3	119	14	101	245	75	2	51	190	324	141	427	12	13	111	76	19	158	64	231	26	89
Net average annual increase over previous 10 years	%		1.3	0.0	0.1	1.1	0.1	0.4	0.5	–0.1	1.0	1.1	1.2	0.3	0.8	0.1	0.6	0.6	0.3	0.6	0.8	0.2	0.2	2.1	0.1	1.0	0.8
Employment																											
Total civilian employment (TCE)[2]	Thousands	1985	6 676	3 235	35 607	11 311	2 522	2 427	20 916	25 011	3 588	114 (84)	1 056 (84)	20 509	58 070	160	5 083	1 329	2 012	4 029	10 623	4 299	3 171	15 213	24 089	107 150	..
of which: Agriculture	% of TCE		6.2	9.0	2.9	5.2	6.7	11.5	7.6	5.5	28.9	10.6	16.0	11.2	8.8	4.2	4.9	11.1	7.2	23.2	17.6	4.8	6.6	57.3	2.6	3.1	..
Industry	% of TCE		27.7	38.1	29.7	25.5	28.1	31.9	32.0	41.0	27.3	36.8	28.9	33.6	34.9	33.4	28.1	32.4	27.8	35.3	31.8	29.9	37.7	17.6	32.4	28.0	..
Services	% of TCE		66.1	52.9	67.4	69.3	65.2	56.6	60.4	53.5	43.8	52.6	55.1	55.2	56.3	62.4	67.0	56.5	65.0	41.5	50.6	65.3	55.7	25.1	65.0	68.9	..
Gross domestic product (GDP)																											
At current prices and current exchange rates	Billion US$	1985	155.1	66.1	79.1	346.0	57.9	54.0	510.3	625.0	32.8	2.7	18.2	358.7	1 327.9	3.6	125.0	21.9	57.9	20.7	164.2	100.2	92.7	52.7	449.7	3 946.6	43.5 (84)
Per capita	US$		9 847	8 743	8 022	13 635	11 319	11 024	9 251	10 243	3 294	10 958	5 123	6 278	10 977	9 745	8 628	6 722	13 960	2 032	4 255	12 006	14 195	1 057	7 943	16 494	1 896 (84)
At current prices using current PPP's[3]	Billion US$	1984	..	85.7	119.7	382.2	68.0	59.6	694.7	811.6	62.3	..	27.6	575.1	1 468.4	5.3	168.9	..	63.6	50.9	317.8	..	..	..	625.2	3 634.6	..
Per capita	US$		..	11 345	12 150	15 198	13 311	12 217	12 643	13 265	6 296	..	7 795	10 093	12 235	14 385	11 710	..	15 367	5 021	8 279	..	..	..	11 068	15 356	..
Average annual volume growth over previous 5 years	%	1985	3.0	1.6	0.6	2.6	2.3	2.6	1.1	1.3	1.0	0.7	1.8	0.9	3.9	2.4	0.7	3.3	3.1	1.0	1.4	1.8	1.3	4.9	1.9	2.4	..
Gross fixed capital formation (GFCF)	% of GDP	1985	24.4	22.3	15.9	19.6	18.5	23.4	18.9	19.5	19.0	21.5	20.9	18.2	27.5	20.2	18.6	25.4	21.7	21.8	19.1	19.1	23.8	19.8	17.2	18.6	21.9 (4)
of which: Machinery and equipment	% of GDP		10.4 (84)	9.6	5.3 (84)	6.6	8.6	8.8	9.4	8.4	7.9	5.8 (84)	11.0 (84)	7.9	10.1 (84)	8.9 (82)	8.1 (84)	12.3 (84)	6.3	13.7 (81)	6.1 (83)	9.1	8.0	9.1 (82)	8.1 (84)	8.4	..
Residential construction	% of GDP		5.4 (84)	4.6	3.2	5.4	4.3	6.2	4.7	5.5	4.0	4.8	5.6 (83)	4.7	5.0 (84)	4.7 (82)	5.0 (84)	4.3 (84)	4.1	7.1 (81)	5.2 (82)	4.1	15.8[9]	2.6 (82)	3.7 (84)	4.8	..
Average annual volume growth over previous 5 years	%	1984	1.9	–0.5	–4.0	0.9	2.1	2.6	–0.1	–1.3	–2.8	–1.0	–1.9	0.3	2.7	–2.8	–1.0	6.6	–1.2	–4.5	–1.4	1.2	2.7	4.9	2.1	5.0	..
Gross saving ratio[4]	% of GDP	1985	20.1	24.4	15.9	19.0	14.9	23.7	18.0	22.2	12.2	16.3	18.1	17.7	31.4	65.3	24.1	20.9	30.0	23.1	21.0	17.8	30.0	18.7	19.2	16.5	..
General government																											
Current expenditure on goods and services	% of GDP	1985	16.7	18.7	17.3	20.1	25.3	20.2	16.3	19.9	19.9	18.0	19.1	19.5	9.8	15.6	16.3	16.4	18.6	14.2	14.0	27.4	13.2	8.5	21.1	18.3	14.0 (84)
Current disbursements[5]	% of GDP	1985	33.4 (84)	44.9 (84)	52.3	43.3 (84)	56.7	37.6	49.4	43.4	43.2	26.4 (84)	51.5 (83)	51.9	27.1 (84)	47.8 (82)	55.9 (84)	..	44.0	37.5 (81)	32.3 (82)	59.6	30.9	..	44.8 (84)	35.3	..
Current receipts	% of GDP	1985	34.1 (84)	47.0 (84)	46.5	39.9 (84)	57.0	40.6	48.5	45.4	34.6	34.8 (84)	43.6 (83)	44.1	30.3 (84)	53.0 (82)	54.3 (84)	..	56.1	33.2 (81)	31.2 (82)	59.8	34.4	..	42.8 (84)	31.1	..
Net official development assistance	% of GNP	1984	0.46	0.28	0.56	0.50	0.85	0.36	0.77	0.45	..	..	..	0.33	0.35	..	1.02	0.25	1.02	..	..	0.80	0.30	..	0.33	0.24	..
Indicators of living standards																											
Private consumption per capita using current PPP's[3]	US$	1984	6 742*	6 490	7 637	8 484	6 826	6 287	8 009	7 274	4 118	6 335*	4 338	6 254	6 751	8 540	7 270	4 041*	6 624	3 076	5 456	5 821*	8 755*	759*	6 535	10 214	966*
Passenger cars, per 1 000 inhabitants	Number	1984	..	306 (81)	335	421 (82)	282	303	360 (83)	424 (85)	108 (83)	418	206 (83)	359 (83)	221 (83)	414 (85)	341 (85)	455 (85)	365 (85)	135 (82)	231	369	392	18 (82)	312 (83)	473	121 (83)
Telephones, per 1 000 inhabitants	Number	1984	540 (83)	460 (83)	414 (83)	664 (83)	749	584	541 (83)	621 (85)	336 (83)	525 (83)	235 (83)	405 (83)	535 (83)	404	410 (86)	646 (85)	423 (85)	166 (83)	360	890	1 299	55 (83)	521	650	122 (83)
Television sets, per 1 000 inhabitants	Number	1984	..	300 (81)	303	471 (80)	371	364 (85)	297 (80)	372 (85)	158 (80)	290	181 (80)	243 (83)	250 (80)	336 (83)	317 (86)	291 (85)	330 (85)	140 (80)	256 (82)	390	329	76 (79)	336	621 (80)	175 (83)
Doctors, per 1 000 inhabitants	Number	1984	..	1.7 (82)	2.8	1.8 (82)	2.5	2.2	2.1 (82)	2.5	2.8 (83)	2.3 (83)	1.3 (82)	3.6 (82)	1.3 (82)	1.7	2.2	2.4 (85)	2.1 (83)	1.8 (82)	3.2	2.3 (83)	1.4	1.5 (83)	0.5 (83)	2.3 (83)	1.6 (82)
Infant mortality per 1 000 live births	Number	1984	9.6 (83)	11.9 (83)	11.3 (83)	9.1 (83)	7.7	6.5	8.9 (83)	4.1 (85)	14.6 (83)	6.1	9.8 (83)	12.3 (83)	6.2 (83)	11.7	9.6 (86)	11.5 (85)	8.3	19.0 (83)	10.5 (83)	6.4	7.1	..	10.1	10.6	31.7 (83)
Wages and prices (average annual increase over previous 5 years)																											
Wages (earnings or rates according to availability)	%	1985	9.0	5.5	5.8	7.2	7.1	10.2	10.8	4.1	25.1	..	12.0	16.3	4.6	..	3.7	10.3	9.2	19.2	15.0	8.7	..	..	10.2	5.6	..
Consumer prices	%	1985	8.3	4.9	7.0	7.4	7.9	8.5	9.6	2.6 (86)	20.4 (86)	48.7	12.3	13.7	2.7	5.3 (86)	2.9 (86)	12.0	7.8 (86)	23.2	12.2	9.0	3.1 (86)	37.8	7.2	5.5	47.5
Foreign trade																											
Exports of goods, fob*	Million US$	1985	22 620	17 220	53 664[7]	87 360	17 040	13 560	97 008	183 312	4 560	816	10 380	78 401	177 216	..[8]	68 472	3 924	19 908	6 051	24 192	30 348	27 120	7 908	101 544	213 144	7 320
as % of GDP	%		14.6	26.1	67.8	25.2	29.4	25.1	19.0	29.3	13.9	30.2	57.0	21.9	13.3	..	54.8	17.9	34.4	29.2	14.7	30.3	29.3	15.0	22.6	5.4	16.8
average annual increase over previous 5 years	%		0.5	–0.2	–3.6	6.1	0.4	–0.8	–2.7	–0.9	–2.5	–2.5	4.1	0.1	6.5	..	–1.5	–2.2	1.5	5.5	3.0	–0.4	–1.7	23.5	–2.5	–0.7	–3.1
Imports of goods, cif*	Million US$	1985	23 508	20 964	56 052	76 860	18 192	13 140	107 148	157 584	10 224	900	10 044	90 506	131 304	..	65 412	4 639	15 492	8 148	29 916	28 476	30 432	11 328	109 920	345 276	8 364
as % of GDP	%		15.2	31.7	70.9	22.2	31.4	24.3	21.0	25.2	31.2	33.3	55.2	25.2	9.9	..	52.3	21.2	26.8	39.4	18.2	28.4	32.8	21.5	24.4	8.7	19.2
average annual increase over previous 5 years	%		3.1	–2.9	–4.8	5.4	–1.2	–3.4	–4.5	–3.2	–0.8	–2.0	–2.1	–1.9	–1.4	..	–3.2	0.4	–1.8	–2.6	–2.6	–3.2	–3.5	12.6	–1.8	7.4	–10.3
Total official reserves[6]	Million SDR's	1985	5 528	5 080	5 611	2 982	4 999	3 481	27 071	43 735	935	189	2 689	16 458	25 173	..	11 354	1 464	12 711	1 978	10 686	3 449	19 317	1 200	12 373	38 412	1 062
As ratio of average monthly imports of goods	Ratio		2.9	3.0	1.2	0.5	3.3	3.2	3.1	3.4	1.1	2.6	3.3	2.2	2.3	..	2.1	0.3	10.0	3.0	4.4	1.5	7.7	1.3	1.4	1.4	1.5

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour force Statistics*.
3. PPP's = Purchasing Power Parities.
4. Gross saving = Gross national disposable income *minus* Private and Government consumption.
5. Current disbursements = Current expenditure on goods and services *plus* current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDR's per ounce. End of year.
7. Including Luxembourg.
8. Included in Belgium.
9. Including non-residential construction.

Sources:
Population and Employment: OECD *Labour Force Statistics*.
GDP, GFCF, and General Government: OECD *National Accounts*. Vol. I and OECD *Economic Outlook, Historical Statistics*.
Indicators of living standards: Miscellaneous national publications.
Wages and Prices: OECD *Main Economic Indicators*.
Foreign trade: OECD *Monthly Foreign trade Statistics, series A*.
Total official reserves: IMF *International Financial Statistics*.

EMPLOYMENT OPPORTUNITIES

Economics and Statistics Department

OECD

A. **Administrator.** A number of economist positions may become available in 1986 in areas such as monetary and fiscal policy, balance of payments, resource allocation, macroeconomic policy issues, short-term forecasting and country studies. *Essential* qualifications and experience: advanced university degree in economics; good knowledge of statistical methods and applied econometrics; two or three years' experience in applied economic analysis; command of one of the two official languages (English and French). *Desirable* qualifications and experience also include: familiarity with the economic problems and data sources of a number of Member countries; proven drafting ability; experience with the estimation, simulation and implementation of computer-based economic models; some knowledge of the other official language.

B. **Principal Administrator.** A number of senior economist positions may become available in 1986 in areas such as monetary and fiscal policy, balance of payments, resource allocation, macroeconomic policy issues, short-term forecasting and country studies. *Essential* qualifications and experience: advanced university degree in economics; extensive experience in applied economic analysis, preferably with a central bank, economics/finance ministry or institute of economic research; good knowledge of statistical methods and applied econometrics; command of one of the two official languages (English and French) and proven drafting ability. *Desirable* qualifications and experience also include: experience in using economic analysis for formulating policy advice; familiarity with a number of OECD economies; experience in using econometric models; good knowledge of the other official language.

These positions carry a basic salary (tax free) from FF 193 968 or FF 239 328 (Administrator) and from FF 275 412 (Principal Administrator), supplemented by further additional allowances depending on residence and family situation.

Initial appointment will be on a two- or three-year fixed-term contract.

Vacancies are open to both male and female candidates from OECD Member countries. Applications citing reference "ECSUR", together with a detailed curriculum vitæ in English or French, should be sent to:

Head of Personnel
OECD
2, rue André-Pascal
75775 PARIS CEDEX 16
France

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Carlos Hirsch S.R.L.,
Florida 165, 4º Piso,
(Galeria Guemes) 1333 Buenos Aires
Tel. 33.1787.2391 y 30.7122

AUSTRALIA-AUSTRALIE
D.A. Book (Aust.) Pty. Ltd.
11-13 Station Street (P.O. Box 163)
Mitcham, Vic. 3132 Tel. (03) 873 4411

AUSTRIA - AUTRICHE
OECD Publications and Information Centre,
4 Simrockstrasse,
5300 Bonn (Germany) Tel. (0228) 21.60.45
Local Agent:
Gerold & Co., Graben 31, Wien I Tel. 52.22.35

BELGIUM - BELGIQUE
Jean de Lannoy, Service Publications OCDE,
avenue du Roi 202
B-1060 Bruxelles Tel. (02) 538.51.69

CANADA
Renouf Publishing Company Ltd/
Éditions Renouf Ltée,
1294 Algoma Road, Ottawa, Ont. K1B 3W8
Tel: (613) 741-4333
Toll Free/Sans Frais:
Ontario, Quebec, Maritimes:
1-800-267-1805
Western Canada, Newfoundland:
1-800-267-1826
Stores/Magasins:
61 rue Sparks St., Ottawa, Ont. K1P 5A6
Tel: (613) 238-8985
211 rue Yonge St., Toronto, Ont. M5B 1M4
Tel: (416) 363-3171
Sales Office/Bureau des Ventes:
7575 Trans Canada Hwy, Suite 305,
St. Laurent, Quebec H4T 1V6
Tel: (514) 335-9274

DENMARK - DANEMARK
Munksgaard Export and Subscription Service
35, Nørre Søgade, DK-1370 København K
Tel. +45.1.12.85.70

FINLAND - FINLANDE
Akateeminen Kirjakauppa,
Keskuskatu 1, 00100 Helsinki 10 Tel. 0.12141

FRANCE
OCDE/OECD
Mail Orders/Commandes par correspondance :
2, rue André-Pascal,
75775 Paris Cedex 16
Tel. (1) 45.24.82.00
Bookshop/Librairie : 33, rue Octave-Feuillet
75016 Paris
Tel. (1) 45.24.81.67 or/ou (1) 45.24.81.81
Principal correspondant :
Librairie de l'Université,
12a, rue Nazareth,
13602 Aix-en-Provence Tel. 42.26.18.08

GERMANY - ALLEMAGNE
OECD Publications and Information Centre,
4 Simrockstrasse,
5300 Bonn Tel. (0228) 21.60.45

GREECE - GRÈCE
Librairie Kauffmann,
28, rue du Stade, 105 64 Athens Tel. 322.21.60

HONG KONG
Government Information Services,
Publications (Sales) Office,
Beaconsfield House, 4/F.,
Queen's Road Central

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f.,
Hafnarstræti 4 & 9,
P.O.B. 1131 – Reykjavik
Tel. 13133/14281/11936

INDIA - INDE
Oxford Book and Stationery Co.,
Scindia House, New Delhi I Tel. 45896
17 Park St., Calcutta 700016 Tel. 240832

INDONESIA - INDONÉSIE
Pdii-Lipi, P.O. Box 3065/JKT.Jakarta
Tel. 583467

IRELAND - IRLANDE
TDC Publishers - Library Suppliers,
12 North Frederick Street, Dublin 1.
Tel. 744835-749677

ITALY - ITALIE
Libreria Commissionaria Sansoni,
Via Lamarmora 45, 50121 Firenze
Tel. 579751/584468
Via Bartolini 29, 20155 Milano Tel. 365083
Sub-depositari :
Editrice e Libreria Herder,
Piazza Montecitorio 120, 00186 Roma
Tel. 6794628
Libreria Hœpli,
Via Hœpli 5, 20121 Milano Tel. 865446
Libreria Scientifica
Dott. Lucio de Biasio "Aciou"
Via Meravigli 16, 20123 Milano Tel. 807679
Libreria Lattes,
Via Garibaldi 3, 10122 Torino Tel. 519274
La diffusione delle edizioni OCSE è inoltre assicurata dalle migliori librerie nelle città più importanti.

JAPAN - JAPON
OECD Publications and Information Centre,
Landic Akasaka Bldg., 2-3-4 Akasaka,
Minato-ku, Tokyo 107 Tel. 586.2016

KOREA - CORÉE
Kyobo Book Centre Co. Ltd.
P.O.Box: Kwang Hwa Moon 1658,
Seoul Tel. (REP) 730.78.91

LEBANON - LIBAN
Documenta Scientifica/Redico,
Edison Building, Bliss St.,
P.O.B. 5641, Beirut Tel. 354429-344425

MALAYSIA - MALAISIE
University of Malaya Co-operative Bookshop Ltd.,
P.O.Box 1127, Jalan Pantai Baru,
Kuala Lumpur Tel. 577701/577072

NETHERLANDS - PAYS-BAS
Staatsuitgeverij
Chr. Plantijnstraat, 2 Postbus 20014
2500 EA S-Gravenhage Tel. 070-789911
Voor bestellingen: Tel. 070-789880

NEW ZEALAND - NOUVELLE-ZÉLANDE
Government Printing Office Bookshops:
Auckland: Retail Bookshop, 25 Rutland Street,
Mail Orders, 85 Beach Road
Private Bag C.P.O.
Hamilton: Retail: Ward Street,
Mail Orders, P.O. Box 857
Wellington: Retail, Mulgrave Street, (Head Office)
Cubacade World Trade Centre,
Mail Orders, Private Bag
Christchurch: Retail, 159 Hereford Street,
Mail Orders, Private Bag
Dunedin: Retail, Princes Street,
Mail Orders, P.O. Box 1104

NORWAY - NORVÈGE
Tanum-Karl Johan
Karl Johans gate 43, Oslo 1
PB 1177 Sentrum, 0107 Oslo 1Tel. (02) 42.93.10

PAKISTAN
Mirza Book Agency
65 Shahrah Quaid-E-Azam, Lahore 3 Tel. 66839

PORTUGAL
Livraria Portugal,
Rua do Carmo 70-74, 1117 Lisboa Codex.
Tel. 360582/3

SINGAPORE - SINGAPOUR
Information Publications Pte Ltd
Pei-Fu Industrial Building,
24 New Industrial Road No. 02-06
Singapore 1953 Tel. 2831786, 2831798

SPAIN - ESPAGNE
Mundi-Prensa Libros, S.A.,
Castelló 37, Apartado 1223, Madrid-28001
Tel. 431.33.99
Libreria Bosch, Ronda Universidad 11,
Barcelona 7 Tel. 317.53.08/317.53.58

SWEDEN - SUÈDE
AB CE Fritzes Kungl. Hovbokhandel,
Box 16356, S 103 27 STH,
Regeringsgatan 12,
DS Stockholm Tel. (08) 23.89.00
Subscription Agency/Abonnements:
Wennergren-Williams AB,
Box 30004, S104 25 Stockholm,
Tel. (08)54.12.00

SWITZERLAND - SUISSE
OECD Publications and Information Centre,
4 Simrockstrasse,
5300 Bonn (Germany) Tel. (0228) 21.60.45
Local Agent:
Librairie Payot,
6 rue Grenus, 1211 Genève 11
Tel. (022) 31.89.50

TAIWAN - FORMOSE
Good Faith Worldwide Int'l Co., Ltd.
9th floor, No. 118, Sec.2
Chung Hsiao E. Road
Taipei Tel. 391.7396/391.7397

THAILAND - THAILANDE
Suksit Siam Co., Ltd.,
1715 Rama IV Rd.,
Samyam Bangkok 5 Tel. 2511630

TURKEY - TURQUIE
Kültur Yayinlari Is-Türk Ltd. Sti.
Atatürk Bulvari No: 191/Kat. 21
Kavaklidere/Ankara Tel. 25.07.60
Dolmabahce Cad. No: 29
Besiktas/Istanbul Tel. 160.71.88

UNITED KINGDOM - ROYAUME-UNI
H.M. Stationery Office,
Postal orders only:
P.O.B. 276, London SW8 5DT
Telephone orders: (01) 622.3316, or
Personal callers:
49 High Holborn, London WC1V 6HB
Branches at: Belfast, Birmingham,
Bristol, Edinburgh, Manchester

UNITED STATES - ÉTATS-UNIS
OECD Publications and Information Centre,
Suite 1207, 1750 Pennsylvania Ave., N.W.,
Washington, D.C. 20006 - 4582
Tel. (202) 724.1857

VENEZUELA
Libreria del Este,
Avda F. Miranda 52, Aptdo. 60337,
Edificio Galipan, Caracas 106
Tel. 32.23.01/33.26.04/31.58.38

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Knez Mihajlova 2,
P.O.B. 36, Beograd Tel. 621.992

Orders and inquiries from countries where Sales Agents have not yet been appointed should be sent to:
OECD, Publications Service, Sales and Distribution Division, 2, rue André-Pascal, 75775 PARIS CEDEX 16.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Service des Publications. Division des Ventes et Distribution. 2. rue André-Pascal. 75775 PARIS CEDEX 16.

70431-01-1987

OECD PUBLICATIONS
2, rue André-Pascal
75775 PARIS CEDEX 16
No. 43849
(10 87 22 1) ISBN 92-64-12912-X

•

PRINTED IN FRANCE

OCDE

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

OECD ECONOMIC OUTLOOK

Each May and December, in the OECD Economic Outlook, the Secretariat surveys the latest economic developments in the OECD area and, by means of an integrated set of quantitative forecasts, assesses future prospects.

OECD ECONOMIC STUDIES

This half-yearly publication, produced by the Economics and Statistics Department of the OECD Secretariat, contains articles featuring applied macroeconomic and statistical analysis, generally with an international or cross-country dimension.

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

OECD ECONOMIC SURVEYS

Annual surveys of developments and prospects in each OECD country.

Subscription (Series 1986/1987) US$ 80,00 £ 40,00 F 400,00

(10 87 22 1) ISBN 92-64-12912-X **F 28/600**